
Labor Act 2074
श्रम ऐन, २०७४
Up to latest amendments
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NEPAL LABOUR ACT, 2074 (2017): OVERVIEW

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Nepal Act No. 14 of 2074

PREAMBLE: CORE OBJECTIVES

- Rights, Welfare & Facilities of Workers
- Clear Rights & Duties of Workers and Employers
- Develop a Good Employment Relationship
- End All Forms of Labour Exploitation
- Increase Productivity

AMENDING ACTS

1. Act Amending Some Nepal Acts, 2075 — 2075.11.19
2. Act Amending Some Nepal Acts relating to Promotion of Good Governance and Delivery of Public Services, 2081 — 2081.12.18
3. Act Amending Some Nepal Acts, 2082 — 2082.04.14

KEY PRINCIPLES & AREAS (ILLUSTRATIVE)

Based on general labou law concepts, but designed to visually relate to their principless, such the preamble

- Minumum Wages
- Work Hours & Leave
- Social Security
- Health & Safety
- Union Rights

LEGISLATURE-PARLIAMENT

Enacted pursuant to Article 296(1) of Constitution of Nepal

BASED ON OFFICIAL PREAMBLE & METADATA

MODERN NEPAL LABOUR LAW

Chapter 1
Preliminary

Section 1 : Short Title and Commencement
Section 2 : Definition

SECTION 2

DEFINITIONS

(e) LOCK-OUT

Situation where an employer closes down the enterprise or workplace to **FULLY OR PARTIALLY PREVENT** workers from working normally.



DOES NOT INCLUDE:

- kept in reserve
- work stopped due to sudden danger

(o) PERIOD OF EMPLOYMENT

The period a worker has been employed with an employer. Also includes:



1) Period on reserve

2) Leave with remuneration





3) Unpaid maternity/ confinement leave

4) Leave for treatment after an accident at work



(z) STRIKE

Workers **COLLECTIVELY** refuse, wholly or partly, to perform regularly performed work.



NOT REGARDED AS A STRIKE:

- Being on leave
- Work stopped due to sudden danger
- Unable to work due to circumstances beyond control

Chapter-2 Basic Provisions Relating to Labourers

Section 3: To remain as minimum standards
Section 4: Prohibition on employing in forced labour
Section 5: Prohibition on employment of children
Section 6: Prohibition on discrimination
Section 7: Prohibition on discrimination in remuneration for equal work
Section 8: Right relating to trade union
Section 9: Right to remedy

CHAPTER 2 — BASIC PROVISIONS RELATING TO WORKERS

3. MINIMUM STANDARDS



STANDARDS



THE ACT STANDS AS THE MINIMUM STANDARD.

Employment contracts with LOWER Remuneration/Facilities than the Act are VOID.



4. PROHIBITION OF BONDED LABOUR



NO ONE DIRECTLY OR INDIRECTLY ENGAGED IN BONDED LABOUR.

Compelling against will with Threats of Economic, Physical, or Mental Action is Illegal.

SMALL EXCEPTIONS: CITIZEN'S DUTY · COURT PUNISHMENT · COMMUNITY SERVICE

5. PROHIBITION ON CHILD LABOR



NO ENGAGING A CHILD IN ANY WORK CONTRARY TO LAW.



6. PROHIBITION OF DISCRIMINATION



NO DISCRIMINATION ON BASIS OF RELIGION, COLOUR, SEX, CASTE, ORIGIN, LANGUAGE, IDEOLOGY.

Exceptions: Inherent Job Requirements, Pregnant Worker Accommodations, Physical Disability Priorities.

7. REMUNERATION FOR EQUAL WORK



NO SEX DISCRIMINATION FOR WORK OF EQUAL VALUE.

Determined by: **NATURE, TIME/LABOUR, SKILL, OUTPUT.**





8. TRADE UNION RIGHTS & RESPONSIBILITIES



RIGHT TO FORM, OPERATE, JOIN TRADE UNIONS.

Must be **DUTIFUL & RESPONSIBLE** towards Employer.



9. ENTITLEMENT TO REMEDY



OBTAIN REMEDY IF RIGHTS ARE INFRINGED.



Chapter- 3 Provisions Relating to Employment

Section 10: Types of employment
Section 11: Prohibition on employment without entering into employment contract
Section 12: Employment relationship to be established
Section 13: Provision relating to probation period
Section 14: Continuity of existence of the employment relationship despite change in ownership
Section 15: Continuity of existence of employment relationship during the period held in reserve

SECTION 10: TYPES OF EMPLOYMENT

REGULAR EMPLOYMENT



Any employment OTHER task-based, time-bound and casual employment.

TASK-BASED EMPLOYMENT



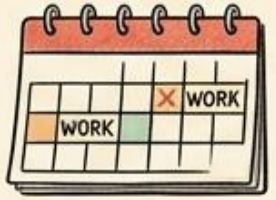
Employment given by assigning a specific task or service to be completed.

TIME-BOUND EMPLOYMENT



Employment for a FIXED PERIOD to to provide a service or complete work within that period.

CASUAL EMPLOYMENT



Employment for providing a service or completing work for 7 days or less within a period of 1 month.

PART-TIME EMPLOYMENT



Employment for 35 hours or less per week.

In case of dispute...
it shall be determined as PRESCRIBED based on the NATURE OF WORK, regardless of the employment contract.

SECTION 11: PROHIBITION ON ENGAGING IN WORK WITHOUT AN EMPLOYMENT CONTRACT



A written employment contract is NOT REQUIRED for casual employment.

The employment contract SHALL SPECIFY:
- Remuneration, Facilities, Terms of employment
- Other matters as prescribed receivable by the worker.

KEY PROVISIONS: EMPLOYMENT RELATIONSHIP

SECTION 12: ESTABLISHMENT OF EMPLOYMENT RELATIONSHIP

- An employment relationship is established:
  - From the date/time the employment contract is concluded.
  - From the date/time the employer orally provides employment.
  - In case of casual employment, from the date/time the worker starts work or provides service.

JOB!

If a DISPUTE arises... → OFFICE or COURT

- The Office shall determine the dispute.
- If the dispute is involved in a matter pending before the Department or a court...
  - ↳ the Department or court shall determine the dispute.

The Office may order the employer to produce employment-related evidence or records.

- If the employer fails to produce...
  - ↳ the employment relationship shall be deemed to have been established.

SECTION 13: PROVISION RELATING TO PROBATION

An employer may place a worker on probation for up to 6 months while concluding an emply. contract.

Worker's performance NOT satisfactory → Employer may terminate the employment contract. EXIT

Employment contract NOT terminated → Employment shall be automatically confirmed confirmed upon completion...

6th month

CONFIRMED

SECTION 14: EMPLOYMENT RELATIONSHIP TO CONTINUE DESPITE CHANGE OF OWNERSHIP

- Ownership or operation... is transferred or changed under law.
- The workplace/business is given to another person for operation.
- Two or more enterprises/businesses merge... or

COLLECTIVE AGREEMENT shall remain binding on:

- The employer... → acquiring ownership.
- The employer receiving the transfer...
- The new enterprise... → formed through merger.
- The enterprise assuming ownership and liability...

- If the former employer, new employer and the trade union have agreed on interim management arrangements, that agreement shall apply.

AGREEMENT AGREEMENT AGREEMENT

SECTION 15: EMPLOYMENT RELATIONSHIP TO CONTINUE DURING RESERVE PERIOD

- If a special circumstance arises, the employer may suspend work and keep workers on reserve.
  - Shortage of electricity, water, raw materials or financial resources.
  - Any circumstance beyond control... preventing work.

Employment relationship shall continue while the worker is on reserve.

- An employer with 10 or more workers may keep a worker on reserve for up to 15 days.

15 DAYS

- To keep a worker on reserve for more than 15 days, the employer shall consult the authentic trade union or the Labour Relations Committee.

UNION COMMITTEE

- Other matters relating to keeping workers on reserve shall be as prescribed.

Chapter-4 Provisions Relating to Trainees and Apprentices

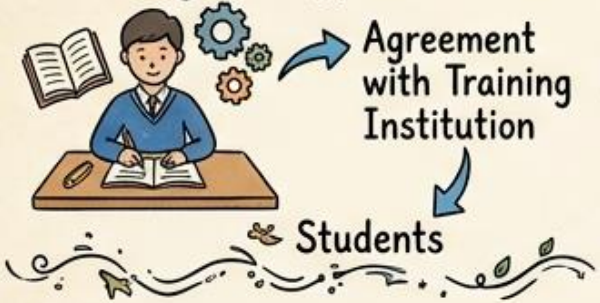
Section 16: Trainees may be engaged in work
Section 17: Provisions relating to labour to be applicable
Section 18: Engagement in work as trainee labour

Chapter 4 — Provisions Relating to Trainees and Apprentices

Section 16: Trainees may be Engaged in Work

- An enterprise engaging a person an agreement with a training institution
- Following the approved curriculum

A trainee shall not be regarded as a worker under this Act.



If a trainee is engaged in work contrary to the approved curriculum, the trainee shall be deemed to be a worker in regular employment.

Section 17: Provisions Relating to Workers to Apply

No more than 8 hours a day and 48 hours a week

- Occupational health and safety shall apply to trainees in the same manner as to workers.



If a trainee meets with an accident while performing training work:
- Treatment as for a worker (unless agreed otherwise with training institution)
- If maimed, compensation under this Act.

Other matters as agreed between training institution and enterprise.

Section 18: Persons may be Engaged in Work as Apprentice Workers

- An employer may engage a person as apprentice while teaching skills and providing training



- Apprenticeship period shall not exceed 1 year



If a different training period is fixed by prevailing law or necessary for a particular type of work, apprenticeship may continue for that period.

- An apprentice shall receive, at minimum:
  - Minimum remuneration
  - Sick leave
  - Social security benefits, including provident fund and insurance, without reduction.

Employer is not required to retain the apprentice after completion of training period

If retained, probation shall not apply.

Chapter-5 Provisions Relating to Part-Time Labourers

Section 19: Part-time employment
Section 20: Not to restrain from working elsewhere
Section 21: Provisions relating to social security

CHAPTER 5 — PROVISIONS RELATING TO PART-TIME WORKERS



SECTION 19: ENGAGEMENT IN PART-TIME WORK

(1) An employer may engage a worker in part-time work.
A full-time worker shall not be engaged in part-time work without his/her consent.



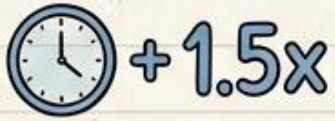
(2) Remuneration of a part-time worker shall be fixed:
(a) On the basis of working hours, or
(b) As agreed in the employment contract.



(3) The remuneration shall be based on at least the monthly remuneration of a full-time worker of the same level performing work of the same nature.



(4) If a part-time worker performs overtime work, he/she shall be paid 1.5 times the remuneration receivable under sub-section (2) for the overtime work.



SECTION 20: PROHIBITION ON RESTRICTING WORK ELSEWHERE

A part-time worker shall not be prohibited from working for another employer.



SECTION 21: PROVISION RELATING TO SOCIAL SECURITY

(1) Where a part-time worker works for more than one employer, each employer shall contribute towards:
(a) Provident fund. (b) Gratuity. (c) Other social security benefits.







(2) The contribution shall be based on the basic remuneration receivable by the worker.



Chapter-6 Provisions Relating to Work Permit

Section 22: Restriction on employment of foreigners
Section 23: Foreign citizen to obtain work permit to work in Nepal
Section 24: Work permit may be issued
Section 25: Language of the contract
Section 26: Remuneration may be repatriated in convertible foreign currency
Section 27: Remuneration, conditions of service, benefits of and other provisions relating to foreign labours

CHAPTER 6 — PROVISIONS RELATING TO LABOUR PERMITS

SECTION 22: PROHIBITION ON ENGAGING FOREIGNERS IN WORK



- EMPLOYER SHALL NOT ENGAGE A FOREIGN CITIZEN WITHOUT OBTAINING A LABOUR PERMIT FROM THE DEPARTMENT.
- A FOREIGN WORKER MAY BE ENGAGED ONLY IF THE REQUIRED WORKERS CANNOT BE SUPPLIED BY NEPALI CITIZENS.
- BEFORE ENGAGING A FOREIGN WORKER, THE EMPLOYER SHALL:
  - PUBLISH AN ADVERTISEMENT IN A NATIONAL DAILY NEWSPAPER TO RECRUIT NEPALI CITIZENS.
  - APPLY TO THE DEPARTMENT WITH PROOF IF:
    - NO PRESCRIBED APPLICATION IS RECEIVED FROM A NEPALI CITIZEN, OR
    - NO NEPALI CITIZEN IS SELECTED.



- ADVERTISEMENT IS NOT REQUIRED FOR TECHNICIANS OR EXPERTS COMING UNDER AN INVESTMENT AGREEMENT APPROVED BY THE GOVERNMENT OF NEPAL OR THE CONCERNED MINISTRY.
- THE DEPARTMENT MAY GRANT A LABOUR PERMIT AFTER EXAMINING THE APPLICATION AND SUPPORTING DOCUMENTS.
- AN EMPLOYER ENGAGING FOREIGN WORKERS SHALL PROGRESSIVELY REPLACE THEM BY TRAINING NEPALI CITIZENS.
- LABOUR PERMIT FEES AND OTHER ARRANGEMENTS SHALL BE AS PRESCRIBED.

SECTION 23: FOREIGN CITIZEN TO OBTAIN LABOUR APPROVAL TO WORK IN NEPAL

- A FOREIGN WORKER SHALL OBTAIN LABOUR APPROVAL, AS PRESCRIBED, TO WORK IN NEPAL.
- EXCEPT WHERE:



  - DIPLOMATIC IMMUNITY APPLIES, OR
  - LABOUR APPROVAL IS NOT REQUIRED UNDER A TREATY OR AGREEMENT WITH THE GOVERNMENT OF NEPAL,
- EVERY FOREIGN CITIZEN WORKING IN NEPAL SHALL OBTAIN LABOUR APPROVAL, AS PRESCRIBED.

SECTION 24: LABOUR PERMIT MAY BE GRANTED

- NOTWITHSTANDING SECTIONS 22 AND 23, THE DEPARTMENT MAY GRANT A LABOUR PERMIT, WHILE MAINTAINING RECORDS, TO:
  - THE CHIEF EXECUTIVE OF AN ENTERPRISE ESTABLISHED WITH FOREIGN INVESTMENT OR OPERATING WITH FOREIGN ASSISTANCE, AND THE PRESCRIBED NUMBER OF WORKERS IN THAT ENTERPRISE.
  - A TECHNICIAN COMING FOR 3 MONTHS OR LESS TO:
    - REPAIR MACHINERY OR EQUIPMENT.
    - INSTALL NEW TECHNOLOGY.
    - PERFORM OTHER SIMILAR URGENT WORK.

SECTION 25: LANGUAGE OF THE CONTRACT



- THE EMPLOYMENT CONTRACT WITH A FOREIGN WORKER SHALL PROVIDE INFORMATION ON:
  - NATURE OF WORK.
  - SERVICE.
  - TERMS OF EMPLOYMENT.
  - FACILITIES.
- THE INFORMATION SHALL BE PROVIDED IN A LANGUAGE UNDERSTOOD BY THE WORKER OR IN ENGLISH.

SECTION 26: RIGHT TO TAKE CONVERTIBLE FOREIGN CURRENCY



A FOREIGN WORKER HOLDING A LABOUR PERMIT UNDER THIS CHAPTER MAY TAKE THE REMUNERATION EARNED IN NEPAL TO HIS/HER OWN COUNTRY IN CONVERTIBLE FOREIGN CURRENCY.

SECTION 27: REMUNERATION, SERVICE TERMS AND FACILITIES, AND OTHER ARRANGEMENTS FOR FOREIGN WORKERS

- THE REMUNERATION, SERVICE TERMS AND FACILITIES OF A FOREIGN WORKER SHALL BE AS PROVIDED IN THE TIME-BOUND OR TASK-BASED EMPLOYMENT CONTRACT.
- SUCH REMUNERATION, TERMS AND FACILITIES SHALL NOT BE LOWER THAN THE STANDARDS PRESCRIBED BY THIS ACT OR THE RULES.
- IF THE EMPLOYMENT CONTRACT SPECIFIES A PERIOD, THAT PERIOD SHALL APPLY.
- IF NO PERIOD IS SPECIFIED, THE EMPLOYMENT CONTRACT SHALL REMAIN VALID FOR UP TO 3 YEARS.
- OTHER MATTERS RELATING TO FOREIGN WORKERS SHALL BE AS PRESCRIBED.

Chapter-7 Provisions Relating to Working Hours

Section 28: Working hours
Section 29: Not to compel to work overtime
Section 30: Provisions relating to overtime
Section 31: Additional remuneration to be paid
Section 32: Fixation of working hours
Section 33: Arrangement for transportation to be made

CHAPTER 7: PROVISIONS RELATING TO WORKING HOURS

SECTION 28: WORKING HOURS



A worker shall not be engaged in work for more than 8 hours a day and 48 hours a week.



A worker shall be provided a 30-minute rest after 5 continuous hours of work.

Where work cannot be interrupted, the rest period shall be provided on a rotational basis.

The rest period under sub-sections (2) and (3) shall be counted as working hours under sub-section (1).

SECTION 29: PROHIBITION ON COMPELLING TO WORK OVERTIME



An employer shall not compel a worker to work beyond the the working hours specified in Section 28(1).

WITH EXCEPTIONS

- Notwithstanding sub-section (1), a worker may be engaged in overtime, subject to Section 30(1), if failure to complete the work is likely to:
  1) Adversely affect the life, safety or health of any person, or
  2) Cause serious loss to the employer.



SECTION 30: PROVISION RELATING TO ENGAGING IN OVERTIME WORK



A worker may be engaged in overtime beyond the working hours under Section 28 for a maximum of:

- 4 hours a day, and
- 24 hours a week.

Work performed without being granted compensatory leave under Section 42 shall be deemed to be overtime work.

SECTION 31: ADDITIONAL REMUNERATION TO BE PAID

A worker engaged in overtime under Section 30 shall



1.5 times

the basic remuneration receivable for regular work.



COLLECTIVE AGREEMENT MAY PROVIDE:



A fixed facility instead of overtime remuneration.



In the case of a managerial-level worker, the facility may be as provided in the employment contract.

or

COLLECTIVE AGREEMENT:



A fixed facility instead of overtime remuneration.



In the case of a managerial-level worker, the facility may be as provided in the employment contract.

SECTION 32: FIXING OF WORKING HOURS



Option A:
The commencement and end of working hours shall be as specified in the employment contract.



Option B:
If not specified in the employment contract, the working hours shall be fixed by the employer.



Other matters relating to working hours shall be as prescribed.

SECTION 33: ARRANGEMENT OF TRANSPORT



Before sunrise



After sunset

Where a female worker's working hours begin before sunrise or end after sunset, the employer shall make necessary transport arrangements for her travel to and from the workplace.

Chapter-8 Provisions Relating to Remuneration

Section 34: Entitlement of labours to remuneration
Section 35: Payment of remuneration
Section 36: Entitlement to annual increment in remuneration (grade)
Section 37: Entitlement to festival expense
Section 38: Prohibition on deduction of remuneration
Section 39: Remuneration for reserve period

CHAPTER 8 – PROVISIONS RELATING TO REMUNERATION

SECTION 34: WORKER TO RECEIVE REMUNERATION



- Worker receives remuneration and facilities from **START DATE.**
- Must be as per **EMPLOYMENT CONTRACT** (but not lower than legal standards).
- Current remuneration and facilities **CANNOT BE REDUCED** (except via collective agreement).

SECTION 35: PAYMENT OF REMUNERATION



- **PAID AT TIME** specified in employment contract (or fixed by employer).
- Worker < 1 month: Within **3 DAYS** of completion.
- Casual worker: **IMMEDIATELY** upon completion.
- Interval: Shall **NOT EXCEED 1 MONTH.**

SECTION 36: ANNUAL INCREMENT



- Completed 1 year of service.
- RECEIVE **ANNUAL INCREMENT** every year.
- Amount: **AT LEAST HALF A DAY'S** basic monthly remuneration.

SECTION 37: FESTIVAL EXPENSES



- **EVERY** worker receives equivalent of **1 MONTH'S** basic remuneration yearly.
- **PAID** for celebrating festival according to worker's religion, culture & tradition.
- Written request: **ONCE** per financial year for main festival.
- No request: Paid on **BADA DASHAIN.**
- Worker < 1 year: Received **PROPORTIONATE** amount.

EMPLOYMENT AND REMUNERATION REGULATIONS

SECTION 38: PROHIBITION ON DEDUCTION FROM REMUNERATION

Remuneration shall not be deducted except for:

1. **Tax or fees** payable under law.
2. **Provident fund, insurance** or other social security contributions.
3. Amounts deducted under a court, quasi-judicial body or arbitration order.
4. Charges for services or facilities provided by the employer, as prescribed.
5. Remuneration for absence from work.
6. **Loss or damage** caused by the worker's malice or negligence.
7. Deductions provided in a collective agreement.
8. Trade union membership fee.
9. Loan or advance provided by the employer.

Deductions under the applicable clauses shall be made after deducting:

- Taxes and fees.
- Provident fund, insurance and other social security contributions.

The limit, manner and other arrangements for deductions shall be as prescribed.

If the indaied worker inavid by the learnered amount of ofumes:

The employer shall give 15 days' notice to the legal heir to deposit the amount.

If not deposited, the employer may apply to the court within 35 days after expiry of the notice period for recovery.

If a worker dies or leaves employment, any deductible amount may be recovered from the amount payable to the worker.

If the amount cannot be fully recovered and the worker has died:

SECTION 39: REMUNERATION DURING PERIOD ON RESERVE



A worker kept on reserve under this Act shall receive 50% of the remuneration until work resumes.

50% REMUNERATION

The worker is not required to remain at the workplace during the reserve period unless the reserve notice specifically requires his/her presence.

Chapter- 9 Provisions Relating to Leave

Section 40: Weekly leave
Section 41: Public leave
Section 42: Substitute leave
Section 43: Home leave
Section 44: Sick leave
Section 45: Maternity leave
Section 46: Birth registration certificate to be submitted
Section 47: Remuneration need not be paid
Section 48: Mourning leave
Section 49: Accumulation of leave
Section 50: Computation of year
Section 51: Leave not as a matter of right

CHAPTER 9 - PROVISIONS RELATING TO LEAVE

SECTION 40: WEEKLY LEAVE



A worker shall receive 1 day of weekly leave every week.

SECTION 41: PUBLIC HOLIDAYS



Every worker shall receive 13 days of paid public holidays each year, including May Day.

A female worker shall receive 14 days of paid public holidays, including International Working Women's Day.

If the regulatory body of an enterprise fixes public holidays, those holidays shall apply. In other cases, public holidays fixed by the employer shall apply.

SECTION 42: COMPENSATORY LEAVE



A worker engaged in work that cannot be stopped or must continue shall receive compensatory leave for working on:

- Weekly holidays.
- Public holidays.

Compensatory leave shall be granted within 21 days from the date of such work.

SECTION 43: HOME LEAVE



A worker shall receive 1 day of paid home leave for every 20 days worked.

A worker employed in an educational institution, or entitled to summer or winter vacation, shall not receive home leave. If such vacation is shorter than the home leave entitlement, home leave shall be granted for the shortfall.

SECTION 44: SICK LEAVE



A worker shall receive 12 days of paid sick leave each year.

A worker with 1 year or less of service shall receive sick leave proportionately.

Sick leave exceeding 3 consecutive days requires a certificate from a recognized physician.

If a worker suddenly falls ill, he/she shall inform the employer or designated person as soon as possible by the fastest available means.

SECTION 45: MATERNITY LEAVE



A pregnant female worker shall receive 14 weeks of maternity leave before or after delivery.

Maternity leave shall be taken:

- At least 2 weeks before the expected delivery date, and
- At least 6 weeks after delivery.



The worker shall receive:

- Full remuneration for 60 days.
- No remuneration for the remaining leave period.

If recommended by a recognized physician, the employer shall grant:

- Up to 1 additional month of unpaid leave, or
- Adjust it against other leave.

A worker who is 7 months or more pregnant and has a stillbirth or miscarriage shall receive leave as if she had delivered.

If a worker's wife dies within 60 days of childbirth, the worker may take the remaining paid leave for childcare.

A male worker shall receive 15 days of paid paternity (maternity-care) leave when his wife is due to deliver.

SECTION 46: BIRTH CERTIFICATE TO BE SUBMITTED



A female worker who has taken materoity leave shall submit a copy of the birth certificate, as prescribed, to the employer.

This requirement does not apply if the newborn infant has died.

SECTION 47: REMUNERATION NOT REQUIRED TO BE PAID



If remuneration for maternity leave is payable from the Social Security Fund, the employer is not required to pay remuneration for that period to the same extent.

SECTION 48: BEREAVEMENT LEAVE



A worker shall receive 13 days of bereavement leave if:

- His/her spouse dies, and mourning rites are to be observed, or
- A married female worker's parents or parents-in-law die.

Bereavement leave shall be with full remuneration.

SECTION 49: ACCUMULATION OF LEAVE



A worker may accumulate:

- Home leave up to 90 days.
- Sick leave up to 45 days.

If a worker leaves service or dies, the worker or the prescribed family member shall receive a lump-sum payment for accumulated home leave and sick leave based on the last basic remuneration.

Leave accumulated beyond the prescribed limit shall be encashed at the end of each year based on the worker's basic remuneration.

SECTION 50: CALCULATION OF YEAR



For leave purposes, a year shall be calculated:

- As fixed by law.
- As fixed by the regulatory body.
- As specified in the employment contract.
- Otherwise, according to the Government of Nepal's fiscal year.

SECTION 51: LEAVE NOT A RIGHT



Sick leave, bereavement leave and maternity leave are the worker's **entitlement** under this Chapter. Other leave is only a **facility** and cannot be claimed as a right.

The employer may, based on workplace needs:

- Refuse leave.
- Postpone leave.
- Deduct leave.
- Change the timing of leave.



The above power applies only to leave other than the leave mentioned in sub-section (1).

Chapter-10 Provisions Relating to Provident Fund, Gratuity and Insurance

Section 52: Contribution for provident fund
Section 53: To receive gratuity
Section 54: Medical insurance to be made
Section 55: Accidental insurance to be made
Section 56: Amount to be paid by the employer
Section 57: Social security scheme to be applicable

Chapter 10 — Provisions Relating to Provident Fund, Gratuity and Insurance

Key Provisions for Workers and Employers

Section 52: Provident Fund Amount to be Deposited

The employer shall:

- Deduct 10% of the worker's basic remuneration as the worker's contribution.
- Contribute an additional 10%.

The total provident fund contribution shall be deposited in the worker's name in the Social Security Fund from the date the worker begins work.

Until:

- The Social Security Fund is established and operational, or
- The law relating to the Social Security Fund becomes applicable,

the provident fund shall be deposited as prescribed.

For workers whose provident fund was not deposited before commencement of this Act, the employer shall deposit it from the date this Act commenced.

Before → After Act

Provident fund accumulated in a retirement or similar fund before commencement of this Act shall be transferred to the Social Security Fund, as prescribed.

If the provident fund cannot be deposited under sub-sections (2) or (2), the employer shall pay the worker an additional amount equal to 10% of the worker's basic remuneration.

Section 53: To Receive Gratuity

The employer shall deposit 8.33% of the worker's basic remuneration every month as gratuity.

The gratuity amount shall be deposited in the worker's name in the Social Security Fund from the date the worker begins work.

Until:

- The Social Security Fund is established and operational, or
- The law relating to the Social Security Fund becomes applicable,

the gratuity shall be deposited as prescribed.

Workers who were not entitled to gratuity before commencement of this Act shall receive gratuity from the date this Act commenced.

Gratuity accumulated in a retirement or similar fund before commencement of this Act shall be transferred to the Social Security Fund, as prescribed.

If the gratuity cannot be deposited under sub-sections (2) or (3), the employer shall pay the worker an additional amount equal to 8.33% of the worker's basic remuneration.

Insurance Provisions

Section 54: Medical Treatment Insurance

NPR 100k

The employer shall arrange medical treatment insurance for every worker for at least NPR 100,000 per year.

The insurance premium shall be shared equally by the employer and the worker.

Section 55: Accident Insurance

NPR 700k

The employer shall arrange accident insurance for every worker of at least NPR 700,000.

The employer shall bear 100% of the insurance premium.

If a worker dies or becomes fully physically or mentally incapacitated due to an accident, the worker or legal heir shall receive 100% of the insured amount.

If a worker is maimed or partially incapacitated, compensation shall be paid according to the prescribed percentage of incapacity.

Section 56: Employer to Pay the Amount

If a worker or dependent heir cannot receive the insurance amount because the employer:

- Failed to obtain insurance
- Was negligent, or
- Made en error in obtaining insurance

the employer shall pay an amount equal to the insurance benefit to the worker or dependent heir.

Section 57: To be as per Social Security Scheme

No Extra Contribution

An employer or worker contributing under the law relating to the Social Security Fund for benefits including:

- Provident fund
- Gratuity
- Medical treatment insurance

is not required to make additional contributions or insurance under this Chapter to the extent of such contribution.

Chapter- 11 Provisions Relating to Supply of Labours

Section 58: Labours may be employed through supplier
Section 59: License to be obtained
Section 60: Submission of details by licensee
Section 61: Obligations of labour supplier
Section 62: Revocation, suspension of license or fine
Section 63: Payment of remuneration and other benefits
Section 64: Obligations of the main employer
Section 65: To make inspection, supervision and monitoring
Section 66: Liability of labours to rest on the main employer
Section 67: Prohibition on collecting fee from labour

SECTION 58: MAY ENGAGE WORKERS THROUGH A SUPPLIER



The Ministry, on the recommendation of the Council, shall publish in the Nepal Gazette the list of work for which workers may be engaged through a labour supplier.





Workers supplied through a labour supplier shall be engaged **only** in work **other than the main work** of the business or service.



REMUNERATION & FACILITIES
Any proposal, tender or agreement for the supply of workers shall ensure that the **workers receive remuneration and other facilities** not less than those prescribed under this Act.



VOID
Any proposal, tender or agreement made contrary to sub-section (3) shall be automatically void.

MAIN WORK MEANS:
- The work stated at the time of establishment of the business, and
- Work directly related to it.

SECTION 59: LICENCE TO BE OBTAINED



A company intending to supply workers shall obtain a licence under this Act.

COMPANY MEANS:
A company established under prevailing law.



A company shall apply for a licence in the prescribed form, with the prescribed fee, details and documents:



(A) CONCERNED OFFICE



(B) DEPARTMENT
To the Department, if it intends to supply workers in an area having more than one Office.



If the application is found satisfactory, the Department or Office shall:

- Issue the licence within 15 days.
- Obtain the prescribed deposit or bank guarantee.



- Issue the licence in the prescribed form and subject to the prescribed conditions.



The licence shall specify:
- The work or service for which workers may be supplied.
- The area of operation.

A company shall not be permitted to supply workers for **more than 2 kinds of work or service.**



An institution or person already engaged in the worker-supply business at the commencement of this Act shall:
- Incorporate a company under the prevailing company law, and
- Obtain a licence under this Section within 6 months from the commencement of this Act.

OVERVIEW OF LABOUR SUPPLIER RESPONSIBILITIES & REGULATIONS

SECTION 60: LICENSEE TO SUBMIT DETAILS



A labour supplier licensed by the Office shall submit the prescribed details to the Office.

A labour supplier licensed by the Department shall submit the prescr-ribed details to the Department.

The details shall be submitted by the end of Poush (mid-January) every year.



SECTION 61: DUTIES OF LABOUR SUPPLIER

A labour supplier shall comply with the conditions and directives prescribed under this Act and the Rules.



As the employer under this Act, the labour supplier shall regularly provide workers with:

- Remuneration
- Other facilities

Such remuneration and facilities shall not be lower than those prescribed under this Act.

The labour supplier shall regularly verify whether the principal employer has made adequate occupat-tional safety and health arr-rangements for the workers.

If such arrangements are inadequate, the labour supplier shall immediately recommend that the principal employer make the necessary arrangements.

If the principal employer fails to implement the recommendation, the labour supplier shall inform the Department or the concerned Office.

SECTION 62: CANCELLATION, SUSPENSION OR FINE OF LICENCE

The Department or Office may cancel a labour supplier's licence if:



- The labour supplier applies in writing for cancellation; or
- The labour supplier, even after being fined under sub-section (6), continues to violate this Act, the Rules or any directive.

Before cancelling a licence under sub-section (1)(b), the labour supplier shall be given at least 7 days to submit an explanation.

A decision to cancel a licence shall be publicly notified.

Cancellation of a licence shall not relieve the labour supplier of any financial liability towards:



- The Government of Nepal, or
- Any worker

The Department or Office may suspend the licence if the labour supplier fails to comply with the prescribed conditions or directives.

For a first offence, the Department or Office may impose a fine of up to NPR 25,000 for non-compliance with the prescribed conditions or directives.

SECTION 63: PAYMENT OF REMUNERATION AND OTHER FACILITIES

If a labour supplier's licence is cancelled, it shall pay all remuneration and other facilities due to workers within 15 days.



If payment is not made within 15 days, the Department or Office shall pay the workers from the deposit or bank guarantee furnished by the labour supplier.



If the deposit or bank guarantee is insufficient:

- Payment shall be made pro rata.
- The remaining amount shall be recovered:
  - In accordance with prevailing law, if the labour supplier has been dissolved or wound up.
  - From the labour supplier's other assets, if it continues operating other activities.

LABOUR REGULATIONS: DUTIES & INSPECTION (SECTIONS 64-67)

SECTION 64: DUTIES OF PRINCIPAL EMPLOYER



- Engage workers supplied by a licensed labour supplier ONLY in accordance with the agreement concluded with the supplier.
- Before concluding the agreement, ensure workers receive remuneration and facilities not less than those prescribed under this Act and the Rules.
- Regularly verify whether the labour supplier is providing remuneration and other facilities to the workers.
- **IF LABOUR SUPPLIER FAILS TO PROVIDE REMUNERATION OR FACILITIES:**
  - Immediately request the labour supplier to make the payment.
  - Also inform the Department or Office.
  - If still fails despite request, inform the Department or Office.
  - Department/Office may pay workers from deposit/bank guarantee upon receiving info or other means.
- Make necessary occupational health and safety arrangements at the workplace.
- If remuneration or facilities under prevailing law increase after agreement, pay additional remuneration or facilities.
- **SHALL NOT OBTAIN WORKERS FROM A SUPPLIER:**
  - Established with the principal employer's own involvement, or
  - In which the employer's manager, director or family member is involved.
- Other matters relating to employer's liability shall be as prescribed.

SECTION 65: INSPECTION, SUPERVISION AND MONITORING



- The Office shall regularly inspect and monitor whether the labour supplier is complying with:
  - This Act.
  - The Rules.
  - Prescribed conditions and directives.
- If non-compliance is found, the Office may issue necessary directives to the labour supplier.
- The labour supplier shall comply with the directives issued under sub-section (2).

SECTION 66: PRINCIPAL EMPLOYER'S WORKERS DEEMED



- If a principal employer engages workers through:
  - A person or company without a licence under this Act, or
  - A labour supplier acting contrary to this Act,
- such workers shall be deemed to be workers of the principal employer.

SECTION 67: PROHIBITION ON TAKING FEES FROM WORKERS



- A labour supplier shall not charge any fee or commission from the workers it supplies.



Chapter-12 Provisions Relating to Occupation Safety and Health

Section 68: Formulation of safety and health Policy
Section 69: Duties of employer towards labour
Section 70: Duties of employer towards non-labour
Section 71: Duties of the responsible person
Section 72: Duties of manufacturers, importers and suppliers
Section 73: Duties of labour
Section 74: To form safety and health committee
Section75: Saving from action
Section 76: To stop work in the case of immediate danger
Section 77: Direction to stop the work
Section 78: Special provisions relating to occupational safety and health
Section 79: To give information
Section 80: Arrangements for control of infectious diseases to be made
Section 81: To engage in easier work
Section 82: Special provisions relating to treatment of occupational disease
Section 83: Direction may be issued

SECTION 68: POLICY ON SAFETY AND HEALTH TO BE MADE

1. The employer shall formulate and implement a **Safety and Health Policy** in accordance with:



This Act



The Rules framed under it



Directives issued under this Act or the Rules



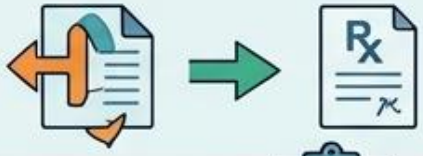
The policy shall cover the safety and health of workers and other persons at the workplace



The Safety and Health Policy shall be registered with the Office



Other matters relating to the Safety and Health Policy shall be as prescribed



The Office shall regularly monitor compliance with the Safety and Health Policy



SECTION 69: EMPLOYER'S DUTY TOWARDS WORKERS

1. The employer shall ensure a safe and healthy working environment at the workplace



2. The employer shall make arrangements to ensure that the use, operation, storage and transport of chemical, physical and biological substances or equipment do not adversely affect safety and health



3. The employer shall provide workers with:
   - Necessary information, awareness and training on occupational safety and health



   - Necessary training and information, in an appropriate language, on the use and operation of equipment and chemical, physical or biological substances related to the work



4. The employer shall ensure safe entry to and exit from the workplace



5. The employer shall provide necessary personal protective equipment (PPE) to workers



6. The employer shall make other prescribed safety and health arrangements



7. The employer shall not charge any fee or cost from workers for providing safety facilities or protective equipment



OCCUPATIONAL SAFETY AND HEALTH POLICY FRAMEWORK

SECTION 70: EMPLOYER'S DUTY TOWARDS NON-WORKERS



The employer shall ensure that the **safety and health of non-workers** visiting, leaving or passing through the workplace are not adversely affected.



Where any work process is likely to affect or endanger the safety or health of any person, the employer shall:

- Give appropriate signals.
- Display warning signs.
- Provide necessary information.



An enterprise using or producing chemical substances shall manage its operations so that chemical substances, gases or other emissions do not adversely affect:

- Humans.
- Local fauna.
- The environment.



SECTION 71: DUTY OF RESPONSIBLE PERSON



The **responsible person** shall ensure that the workplace, equipment, articles and substances used for work are safe and healthy.

Responsible person means:



- A person having ownership or control over the workplace, equipment, article or substance.



- A person or institution acquiring such ownership or control through an agreement relating to their use.

SECTION 72: DUTY OF MANUFACTURER, IMPORTER AND SUPPLIER



A manufacturer, importer or supplier of equipment, articles or substances used at the workplace shall:



- Manufacture, import or supply only those found safe for workplace use after testing.



- Determine safe methods and procedures for operation and use.



- Identify hazards that may affect safety or health.



- Conduct or rely on research, testing or experimentation to eliminate or reduce identified hazards.



- Prepare and provide guidelines containing complete safety information for proper operation and use.



A person or institution manufacturing or installing workplace equipment shall provide the employer with a written report confirming that proper use of the equipment will not adversely affect safety or health.



Equipment, articles or substances shall not be regarded as improperly designed or supplied if the user fails to use them according to the instructions or advice provided by the manufacturer or supplier.



A manufacturer, importer or supplier of chemical substances shall provide the employer with:

- A Chemical Safety Data Sheet (CSDS).
- Other prescribed information relating to the chemical substance.

LABOUR ACT – CHAPTER ON SAFETY & HEALTH

SECTION 73: DUTY OF WORKER



1. A worker shall not knowingly or negligently do any act that may adversely affect or endanger his/her own or another person's safety or health.



2. A worker shall cooperate with the employer and the concerned person in fulfilling fulfilling the duties under this Chapter.



3. A worker shall obtain information on the guidelines, instructions and safety measures for the operation and use of workplace equipment, articles and substances.





4. A worker shall operate and use the workplace, equipment and substances safely, in accordance with the prescribed guidance, information and instructions.



5. A worker shall compulsorily use the personal protective equipment (PPE) provided by the employer.

SECTION 74: FORMATION OF SAFETY AND HEALTH COMMITTEE



1. An employer employing 20 or more workers shall form a Safety and Health Committee, as prescribed, with representation of workers.

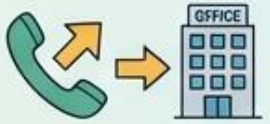
2. Workers engaged through a labour supplier shall also be counted for the purpose of sub-section (1).





3. The Safety and Health Committee shall:

- Regularly advise the employer on occupational safety and health arrangements and ways to improve them.
- Evaluate the effectiveness of workplace safety and health measures and recommend improvements.



- Inform the Office if the employer fails to take action after being advised.



- Review annually the Safety and Health Policy prepared under Section 68.



- Perform other prescribed functions.

Source: Labour Act [Section 73 & 74]



SECTION 75: PROTECTION FROM ACTION

An employer shall not take disciplinary action against a worker solely because the worker:

- Provided or assisted in providing information, notice or complaint regarding occupational safety and health.
- Performed duties as a member of the Safety and Health Committee under Section 74.
- Stopped work under Section 76 or Section 77 due to an immediate danger to safety and health.

A worker shall **not stop work with the intention of causing loss to, harassing** or taking revenge on the employer.



SECTION 76: STOPPING WORK IN CASE OF IMMEDIATE DANGER



If continuing work is likely to cause:

- Physical injury or danger to a worker or another person,
- Serious harm to health,
- Unexpected damage or loss to equipment, articles or substances,

the worker shall immediately **inform the employer** or the responsible person under Section 71.

On receiving such information, the employer or responsible person shall immediately issue appropriate directions.

On receiving such information, the employer or responsible person shall immediately

the work.

A worker who stops work shall immediately inform the employer and responsible person by the fastest available means.

The employer or responsible person shall immediately:

- Investigate the situation.
- Remove or minimize the danger.

IF A DISPUTE ARISES REGARDING...

- Whether an immediate danger existed,
- Whether the measures taken to remove or minimize the danger were adequate,

either party may apply to the Office for settlement.

The Office shall:

- Investigate the matter.
- Hear both parties.
- Obtain evidence, if necessary.
- Settle the dispute.

The decision of the Office shall be **final** and **binding** on both the employer and the worker.

During the work stoppage period, **the employer may assign the worker other work**, subject to the worker's service terms.

Source: Labour Act [Section 75 & 76]

SECTION 77: DIRECTIVE TO STOP WORK



If the Office finds, through inspection or other information, that there is **or is likely to be an immediate danger** to the safety or health of workers or other persons, it may direct the employer to **immediately stop work.**



The directive shall state the cause and grounds of the danger.



If any equipment is found unsafe for operation or use, the Office may:



Prohibit its use.



Seal or lock the equipment or any part of it.



The employer shall immediately comply with the Office's direction to stop work.





An employer dissatisfied with the directive may appeal to the Department within 7 days of receiving the directive.



The Department shall decide the appeal within 15 days.





Work shall not resume during the appeal period.

However, work may resume if the Office confirms that the immediate danger to safety or health no longer exists.



SECTION 78: SPECIAL PROVISIONS RELATING TO OCCUPATIONAL SAFETY AND HEALTH

Enterprises shall comply with the prescribed occupational safety and health standards relating to:



- Eye protection.

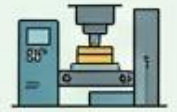


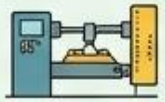
- Protection from chemical substances.



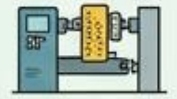


- Operation of presses and plants.





- Machine guarding.





- Lifting heavy loads.
- Other necessary safety arrangements.





Testing of presses, plants and boilers shall be carried out as prescribed.





Notification of the establishment of an enterprise and other matters relating to occupational safety and health shall be as prescribed.



Source: Labour Act [Section 77 & 78]

LABOUR CODE - CHAPTER ON OCCUPATIONAL HEALTH & SAFETY

SECTION 79: NOTICE TO BE GIVEN



The employer shall immediately inform the Office if:



An accident occurs at the workplace.



Any person is injured or dies due to an accident.



A worker contracts an occupational disease.

SECTION 80: ARRANGEMENTS FOR CONTROL OF INFECTIOUS DISEASES

The employer shall make appropriate arrangements for the prevention and control of infectious diseases at the workplace.





If a worker contracts an infectious disease and requires treatment, the employer may prohibit the worker from attending work during the treatment period.



1. If the worker's sick leave is insufficient, the employer may require the worker to:
   - Adjust the absence against other leave, or
   - Take special unpaid leave.



The worker shall comply with the employer's direction under sub-section (3).



SECTION 81: TO BE ENGAGED IN SIMPLE WORK



A pregnant female worker shall inform the employer of her pregnancy and submit a medical examination certificate.



On receiving such information, the employer shall, as far as possible, assign the pregnant worker to work that does not adversely affect her health.



SECTION 82: SPECIAL PROVISIONS FOR TREATMENT OF OCCUPATIONAL DISEASE



If a worker contracts a prescribed occupational disease in the course of employment, the employer shall provide:



- Prescribed treatment expenses, or
- Prescribed compensation, if the disease cannot be treated.

If the worker is entitled to receive treatment expenses or compensation from the Social Security Fund, the employer is not required to provide those benefits under sub-section (1).





SECTION 83: MAY GIVE DIRECTIVES



The Office may inspect the workplace periodically or at any time to verify compliance with occupational safety and health requirements.



1. If the employer has not made the required safety and health arrangements:
   (a) The Office shall direct the employer to make the arrangements within a specified period.
   (b) If there is an immediate risk to workers, other persons or the environment, the Office shall direct the employer take immediate action.



2. The Office may require the employer to provide information and records relating to:
   - Workplace accidents.
   - Occupational diseases.
   - Safety and health of workers and other persons.



3. The employer shall comply with and ensure compliance with the directives issued under sub-sections (2) and (3).



Source: Labour Act [Section 79-83]

Chapter-13 Provisions Relating to Industry or Service of Special Nature

Section 84: Provisions relating to tea-estate labours
Section 85: Special provisions relating to construction labours
Section 86: Provisions relating to transport labours
Section 87: Special provisions relating to tourism labours
Section 88: Provisions relating to domestic labours
Section 89: Provisions relating to seasonal enterprises
Section 90: Provisions relating to enterprise which is incorporated in foreign country and operates business in Nepal

CHAPTER 13 — PROVISIONS RELATING TO INDUSTRIES OR SERVICES OF SPECIAL NATURE

SECTION 84: SPECIAL PROVISIONS RELATING TO TEA ESTATE WORKERS

The employer's obligations is:

- Provide **suitable housing within the tea estate** for workers and their dependent family members who do not live nearby.
- **Arrange free primary treatment** for **minor injuries** to workers and their dependent family members, including necessary medical supplies and a trained person.
- Ensure the **availability of daily essential goods** where there is no nearby market.
- Provide **sports and recreational facilities** for the physical and mental well-being of workers and their dependent family members.

TEA ESTATE INCLUDES:

- A tea estate registered under prevailing law.
- Factories, infrastructure and premises within the tea estate.



TEA ESTATE WORKER INCLUDES WORKERS ENGAGED IN:

- Cultivation activities (digging, ploughing, levelling, spraying, pruning, weeding, plucking, etc.).
- Tea processing and other tea estate work.

DEPENDENT FAMILY MEANS family members living with and supported by the tea estate worker.

Nothing in this Section prevents the employer and worker from **entering into an agreement** regarding the completion of tea estate work.

SECTION 85: SPECIAL PROVISIONS RELATING TO CONSTRUCTION WORKERS

The employer's obligations is:

- Provide **adequate tools, equipment and construction materials.**
- Arrange **temporary accommodation, clean drinking** water and necessary food supply for workers who do not live near the construction site.
- Ensure **appropriate occupational safety arrangements** at the construction workplace.

CONSTRUCTION WORK INCLUDES CONSTRUCTION OF:

- Buildings.
- Roads, bridges, canals, tunnels and waterways.
- Railways.
- Powerhouses.
- Telecommunications, telephone and telegraph structures.
- Other similar structures, including installation of machinery, tools and equipment.

The person or institution responsible for or awarded the construction contract shall be deemed to be the employer under this Act.

While fixing remuneration and other facilities for construction workers, mandatory representation of:

- The concerned level trade union, and
- The construction entrepreneurs' association shall be ensured.

Other matters relating to construction workers shall be as prescribed.

SECTION 86 & 87 : SPECIAL PROVISIONS RELATING TO TRANSPORT & TOURISM WORKERS

SECTION 86: SPECIAL PROVISIONS RELATING TO TRANSPORT WORKERS

THE EMPLOYER SHALL:

Provide **at least 2 drivers** to drive in rotation on long-route passenger vehicles.

Arrange rest for drivers before they reach the destination.

Pay a worker engaged for **more than 8 hours a day**:
- 1.5 times overtime remuneration,

OR
- At the worker's choice, trip allowance, food allowance or similar allowance (only one benefit).

- If a vehicle **breaks down** or is stopped before reaching the destination, pay the worker 50% of the applicable allowance.

- Keep **first-aid medicines** and medical supplies in the vehicle.

GENERAL PROVISIONS:

A driver shall not **consume intoxicating substances** from 12 hours before driving until reaching the destination.

- Violation of sub-section (2) shall be treated as **misconduct**, and the employer may remove the worker from service after providing an opportunity to explain.

- If **a vehicle is sold or ownership changes**, the employer may terminate the employment after providing the retirement benefits payable.

* The above provision does not apply to enterprises engaged in operating vehicles.

DEFINITIONS:

Long route means a route designated under prevailing law.

Transport work means transporting persons, animals or goods by mechanical means.

Transport worker means a worker engaged in transport work.

SECTION 87: SPECIAL PROVISIONS RELATING TO WORKERS CONNECTED WITH TOURISM

THE EMPLOYER SHALL:

- Provide adequate **first-aid medicines** and **medical supplies** when sending workers to the workplace.

- Provide adequate **first-aid medicines** and **medical supplies** when sending the workplace.

- Arrange **immediate rescue** if a worker faces:
  - Distress.
  - Serious health problems.
  - An accident.

WORKER RIGHTS & SERVICE CHARGE:

- A worker connected with tourism shall receive, at his/her **choice, any one** of the following:
  - Field allowance.
  - Food allowance or similar allowance.
  - 1.5 times overtime remuneration.

- Employers operating a hotel, motel, restaurant, jungle safari or similar business shall **distribute the service charge collected as prescribed ÷ a collective agreement.**

SECTION 88: PROVISION RELATING TO DOMESTIC WORKERS



MINIMUM REMUNERATION

The Government of Nepal may fix a separate minimum remuneration for domestic workers.



FESTIVAL CELEBRATION

The employer shall allow a domestic worker to celebrate festivals according to his/her culture, religion and tradition.



HOLIDAYS AND LEAVE

Public holidays, weekly leave and other related arrangements for domestic workers shall be as prescribed, notwithstanding other provisions of this Act.



DEDUCTIONS FROM REMUNERATION



If the employer provides:

- Food and lodging, or
- Educational assistance,







Educational assistance, the employer may deduct the corresponding amount from the worker's remuneration.

SECTION 89: PROVISION RELATING TO SEASONAL ENTERPRISES

SEASONAL ENTERPRISE MEANS:

- An enterprise that operates only during a particular season, or
- An enterprise that operates for not more than 180 days in a year.



OFF-SEASON RESERVE

If a seasonal enterprise remains closed during the off-season, workers shall be kept on reserve during that period.



A worker in regular employment shall receive 25% of the remuneration payable during the period the seasonal enterprise remains closed.



DISPUTE RESOLUTION

If any dispute arises as to whether an enterprise is a seasonal enterprise, the Office shall decide the matter.



SECTION 90: PROVISION RELATING TO ENTERPRISES REGISTERED ABROAD OPERATING BUSINESS IN NEPAL





VIOLATION & COMPLAINT

If a foreign enterprise operating business in Nepal violates the employment contract concluded with its representative or worker in Nepal, the concerned representative or worker may file a complaint with the:

- Office, or
- Labour Court, under this Act.



Source: Nepal Labour Act

Chapter-14 Provisions Relating to Fair Labour Practice

Section 91: To observe fair labour practice
Section 92: Deemed to be unfair labour practice

CHAPTER 14 — PROVISIONS RELATING TO FAIR LABOUR PRACTICE



SECTION 91: TO COMPLY WITH FAIR LABOUR PRACTICE

The employer, enterprise and trade union shall comply with fair labour practices in all their dealings and activities with one another.



SECTION 92: DEEMED TO HAVE COMMITTED UNFAIR LABOUR PRACTICE

An employer or trade union shall not commit or cause any unfair labour practice under sub-sections (2) and (3).

SUB-SECTION (2): UNFAIR LABOUR PRACTICE BY AN EMPLOYER



- Fails to comply with or enforce labour laws.



- Restricts the exercise of rights granted under labour law.



- Knowingly creates false evidence against a worker.



- Intentionally causes distress or harassment to a worker.



- Interferes in the formation, operation or administration of a trade union.





- Continues an illegal lock-out.



- Beats or assaults a worker.





- Incites or provokes workers to create hostility or ill-will among them.



SUB-SECTION (3): UNFAIR LABOUR PRACTICE BY A TRADE UNION



- Pressures or threatens a worker to join or not join a trade union.





- Forcibly collects donations or support.





- Conducts picketing or siege at the employer's private residence or other establishments (other than the workplace).





- Beats, assaults or engages in illegal acts against the employer, its representative or any worker to enforce its demands.





- Knowingly damages the employer's property.



Source: Nepal Labour Act

Chapter-15 Provisions Relating to Inspection

Section 93: Provisions relating to Office and inspectors
Section 94: Powers, functions and duties of the Office
Section 95: Powers, functions and duties of inspector
Section 96: Obligations of inspector or employee
Section 97: To render necessary assistance
Section 98: Report to be submitted
Section 99: Power of the Office to give direction
Section 100: Labour audit to be made
Section 101: Making application in convenient Office

CHAPTER 15 — PROVISIONS RELATING TO OFFICE AND INSPECTORS

SECTION 93: PROVISIONS RELATING TO OFFICE AND INSPECTORS

GOVERNMENT OF NEPAL ESTABLISHES OFFICES



For implementation of:
- This Act
- Other prevailing labour laws

MINISTRY DETERMINES JURISDICTION (DISTRICTS)



Ministry determines the jurisdiction of each Office.

APPOINTMENT OF INSPECTORS



Government of Nepal may appoint one or more Inspectors for any area by publishing a notice in the Nepal Gazette.

SECTION 94: FUNCTIONS, DUTIES AND POWERS OF THE OFFICE

MONITOR IMPLEMENTATION OF:



- Minimum remuneration, allowances & facilities.
- Collective agreements.
- Rights of workers & employers under prevailing law.



REGULARLY MONTIOR COMPLIANCE WITH THIS ACT & THE RULES, & ISSUE DIRECTIVES.



PROVIDE TRAINING ON:



- Labour standards.
- Codes of conduct.
- Monitor implementation.
- Provide technical assistance to employers and workers

DIRECT EMPLOYERS TO MAKE AVAILABLE:



- Occupational safety & health standards.
- Employee bye-laws.
- Other required documents.

IMPLEMENT:



- Collective agreements.
- Mediator's decisions.

INSPECT FOR CHILD LABOUR:



- Rescue child workers immediately.
- Take action against employer.

INSPECT IMPLEMENTATION OF OHS ARRANGEMENTS UNDER CHAPTER 12.



INSPECT AND TEST:



- Machinery.
- Tools.
- Equipment.
- Articles & substances.

COLLECT SAMPLES WHERE NECESSARY.

INSPECT AND TEST:



- Machinery.
- Tools.
- Equipment.
- Articles & substances.

COLLECT SAMPLES WHERE NECESSARY.

CONDUCT PERIODIC OR SURPRISE INSPECTIONS OF ENTERPRISES & WORKPLACES.



REQUIRE PRODUCTION OF:



Electronic records. Registers. Deeds.

IF NOT PRODUCED, ENTER & SEIZE ORIGINALS OR COPIES WITH ACKNOWLEDGEMENT.



OBTAIN INFORMATION FROM:



- Employers.
- Managerial workers.
- Other workers.

REQUIRE APPEARANCE & RECORD STATEMENTS.

ISSUE IMMEDIATE DIRECTIVES TO CORRECT VIOLATIONS.



MAINTAIN RECORDS OF:





- Applications.
- Documents.
- Decisions.
- Orders.
- Reconciliation proceedings.

PERFORM OTHER ASSIGNED FUNCTIONS.



SUB-SECTIONS (2) & (3): ASSISTANCE TO THE OFFICE

THE OFFICE MAY SEEK ASSISTANCE FROM:
- Local administration.
- Police.
- Other concerned bodies.

THE CONCERNED AUTHORITIES SHALL PROVIDE REQUESTED ASSISTANCE.



SUPPORT

SECTION 95: FUNCTIONS, DUTIES AND POWERS OF INSPECTOR

FUNCTIONS ON BEHALF OF THE OFFICE

The **functions, duties and powers** to be performed on behalf of the **Office** by the **Inspector** and **subordinate staff** shall be as prescribed.

OCCUPATIONAL SAFETY & HEALTH INSPECTOR

Where any law requires work to be performed only by an Occupational Safety and Health Inspector, such Inspector shall perform:

- **Inspection of machinery and tools.**
- **Occupational safety and health inspections.**
- Other **technical inspections** on behalf of the Office.

IF OFFICE LACKS OHS INSPECTOR, IT MAY:

Engage an **Occupational Safety and Health Inspector** from another Office,

or

Engage a **qualified technical expert** for inspection work.

The **Labour Inspector** may perform the inspection work on behalf of the Office accordingly.

SECTION 96: DUTY OF INSPECTOR OR EMPLOYEE

DUTIES DURING INSPECTION

An Inspector or employee conducting an inspection shall:

- **Show an official identity card** before entering an enterprise or workplace.
- **Provide a written receipt** when taking possession of any register, document, record or article.
- Keep the **identity of a complainant confidential**, if requested.
- **Perform official duties without unnecessarily obstructing obstructing** the work of of the enterprise or workplace.
- Keep **information, records and data obtained** during inspection **confidential**, except where disclosure is required by law.

MISCONDUCT BY INSPECTOR OR EMPLOYEE

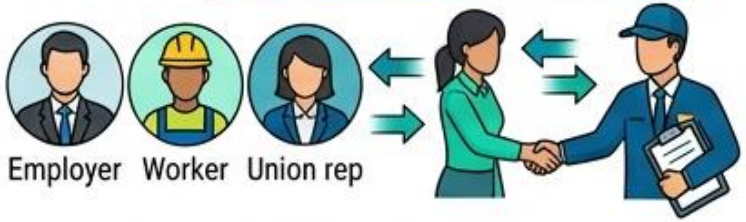
If an Inspector or employee:

- Fails to perform the duties under sub-section (1),
- Commits misconduct or acts contrary to official duties, or
- Acts in bad faith causing loss or damage,

- the concerned person may submit a **complaint** to the appointing authority through the Office.
- If found guilty after investigation, the appointing authority **departmental action** under prevailing law.

CHAPTER [X]: INSPECTIONS & COMPLIANCE

SECTION 97: NECESSARY COOPERATION TO BE GIVEN



The **employer, worker and trade union** shall provide necessary **cooperation** to the Inspector or employee conducting an inspection of the enterprise or workplace.

SECTION 98: REPORT TO BE SUBMITTED



Unless otherwise directed, the Inspector or employee shall **submit an inspection report with the prescribed details to the Office**.

The report shall be submitted **within 15 days** of completing the inspection.

SECTION 99: OFFICE MAY GIVE DIRECTIVES





After reviewing the report submitted under Section 98, the **Office may:**

- Direct **improvements** in any work, work process or other matter relating to an enterprise, workplace, worker or trade union.
- Direct the **immediate stoppage** of any activity or process being carried out contrary to law.



A party dissatisfied with the Office's directive may **appeal to the Labour Court** within **35 days**. The decision of the Labour Court shall be final.



SECTION 100: LABOUR AUDIT TO BE CONDUCTED



Every enterprise shall conduct a **Labour Audit**, as prescribed, to verify compliance with:

- This Act
- The Regulations
- Other prevailing laws

The enterprise shall prepare a **Labour Audit Report**.



The report shall be made available to the Office or Inspector whenever:

- An inspection is conducted under this Chapter, or
- The report is requested.





A party dissatisfied with the Office's directive may appeal to the Labour Court for



SECTION 101: MAY SUBMIT APPLICATION TO A CONVENIENT OFFICE

In an area having more than one Office, a worker of an enterprise with a branch or workplace in that area may submit an application to the Office most convenient to him/her.





The concerned Office shall accept and hear the application.

Chapter-16 Provisions Relating to Council and Committee

Section 102: Formation of Central Labour Advisory Council
Section 103: Functions, duties and powers of the Council
Section 104: Office of member of the Council to be vacant
Section 105: Provisions relating to meetings of the Council
Section 105A: State Government may constitute a State Labour Advisory Council
Section 106: Fixation of minimum remuneration
Section 107: Minimum remuneration fixation committee

CENTRAL LABOUR ADVISORY COUNCIL (CLAC)

SECTION 102: FORMATION OF CENTRAL LABOUR ADVISORY COUNCIL

The Central Labour Advisory Council shall be formed to advise the Government of Nepal on labour matters.

COMPOSITION OF THE COUNCIL

OFFICIAL MEMBERS – GOVERNMENT & DEPARTMENTAL

- Minister/State Minister for Labour and Employment — Chairperson
- Secretaries of:
  - Ministry of Finance
  - Ministry of Labour and Employment
  - Ministry of Physical Infrastructure and Transport
  - Ministry of Agricultural Development
  - Ministry of Industry
  - Ministry of Health
- Director General, Department of Labour
- Executive Director, Social Security Fund
- Executive Director, Vocational Skill Development Training Centre
- Joint Secretary (concerned division), Ministry of Labour and Employment — Member-Secretary

NOMINATED REPRESENTATIVES

5 EMPLOYER REPRESENTATIVES

NOMINATED BY THE MINISTRY

(at least 2 women)

Employer representatives shall be nominated on the recommendation of the employers' organization

3 YEARS

RE-NOMINATED

5 TRADE UNION FEDERATION REPRESENTATIVES

NOMINATED BY THE MINISTRY

(at least 2 women)

Trade union representatives on the recommendation of the Joint Trade Union Coordination Centre

3 YEARS

RE-NOMINATED

OTHER PROVISIONS

A MEMBERS NOMINATED under sub-section (1)(k) and (l)

- Shall hold office for 3 years and may be re-nominated.
- A member nominated under sub-section (1)(k) or (l) may nominate an alternate member to attend Council meetings in his/her absence.

B FUNCTION

ADVISING THE GOVERNMENT

OFFICIAL SOURCE: NEPAL LABOUR LAW

CENTRAL LABOUR ADVISORY COUNCIL: FUNCTIONS AND VACANCY

Sections 103 & 104 (Nepal Labour Legislation)

SECTION 103: FUNCTIONS, DUTIES AND POWERS OF THE COUNCIL



Advise the Government of Nepal on labour policy.



Recommend updates to labour laws from time to time.



Advise on the ratification and implementation of **international labour conventions** to which Nepal is a party.



Advise on reports relating to international labour conventions to be submitted by the Government of Nepal.



Recommend **occupational safety** and **health** standards.



Recommend a Fair Labour Practice Code.

Policies



Advise on policies relating to:

- Vocational training.
- Apprenticeship training.



- Coordinate with the Government, employers and trade unions to:



Maintain industrial peace and good industrial relations.



Reduce labour disputes.



Promote employment and productivity.

- Prepare and issue **guidelines** for **collective bargaining**.



- Perform other prescribed functions.



Sub-sections (2)–(4)

The Council may form committees or task forces as required.



The functions, duties and powers of such committees or task forces shall be assigned by the the Council.



The Ministry shall serve as the Secretariat of the Council.



SECTION 104: VACANCY OF COUNCIL MEMBERSHIP

(Sub-section 1: Reasons for Vacancy)

- Submits a written resignation through the Chairperson.



- Remains absent from **3 consecutive meetings** without notice (except where the alternate member attends).



- Completes the term of office.



- Dies.



Sub-sections (2) & (3)

- Before removing a member under sub-section (1)(b), an opportunity to explain shall be provided.



- A vacancy shall be filled by nominating a member from the same sector, following the same nomination process, for the remaining term.



LABOUR ADVISORY COUNCIL PROVISIONS (INFOGRAPHIC)

SECTION 105: PROVISION RELATING TO COUNCIL MEETINGS

CONVENING MEETINGS

Chairperson convenes as necessary

Interval between meetings: ≤ **4 months**

MEMBER REQUEST

≥ One-fourth total Council members submit written request → Chairperson must convene meeting **within 15 days**

NOTICE AND AGENDA → MEMBER-SECRETARY PROVIDES:

- Meeting Notice
- Meeting Agenda

At least 24 hours before meeting

QUORUM

More than **50%** of total members

REPRESENTATION FROM:

- Government of Nepal
- Employers
- Trade Unions

PRESIDING OVER MEETINGS

Chairperson presides

- If absent → If absent → Secretary of the Ministry chairs

EXPERT INVITATION

Council may invite **a labour expert** to attend

DECISION MAKING

- BY CONSENSUS

OR, IF CONSENSUS NOT POSSIBLE:

- By **majority vote**, including representatives of Government, employers and trade unions

DECISION RECORDING

- Recorded in a separate minute book
- Authenticated by the Member-Secretary

OTHER PROCEDURES: Determined by the Council

MEETING ALLOWANCE: Council members receive allowance as fixed by the Government of Nepal

SECTION 105A: PROVINCIAL GOVERNMENT MAY FORM PROVINCIAL LABOUR ADVISORY COUNCIL

A Provincial Government may establish a Provincial Labour Advisory Council

GOALS AND OBJECTIVES

- **FACILITATE IMPLEMENTATION OF THIS ACT**
- **IMPROVE LABOUR ADMINISTRATION AND MANAGEMENT AT THE PROVINCIAL LEVEL**

FORMATION, OPERATION AND OTHER ARRANGEMENTS of the Provincial Labour Advisory Council shall be determined by the Provincial Government

"MINIMUM REMUNERATION FRAMEWORK" (INFOGRAPHIC)

SECTION 106: FIXING OF MINIMUM REMUNERATION

SECTION 107

MINISTRY FIXES REMUNERATION EVERY 2 YEARS

BASED ON RECOMMENDATION OF MINIMUM REMUNERATION FIXATION COMMITTEE

IF NO CONSENSUS IN COMMITTEE



MINISTRY FIXES MINIMUM REMUNERATION ITSELF



FIXED MINIMUM REMUNERATION PUBLISHED

IN THE NEPAL GAZETTE

EFFECTIVE DATE:



REVISED REMUNERATION

TAKES EFFECT FROM FIRST DAY OF NEW FISCAL YEAR

EXCEPTION:



IF EMPLOYER AND TRADE UNION AGREE ON DIFFERENT EFFECTIVE DATE, THAT AGREEMENT SHALL APPLY

HIGHER REMUNERATION PREVAILS

MINIMUM REMUNERATION FIXED UNDER ANY OTHER LAW CANNOT BE LOWER THAN THE REMUNERATION FIXED UNDER THIS ACT

SECTION 107: MINIMUM REMUNERATION FIXATION COMMITEE

STANDING COMMITTEE FORMED BY MINISTRY

GOVERNMENT OF NEPAL

TRADE UNIONS

EMPLOYERS' ORGANIZATIONS

COMMITTEE MAY RECOMMEND MINIMUM REMUNERATION:



NATIONWIDE

NATIONWIDE



FOR A SPECIFIC SECTOR, INDUSTRY, AGRICULTURY, ENTERPRISE OR EMPLOYMENT CATEGORY

BASIS AND CRITERIA

COMMITTEE SHALL DETERMINE THE BASIS AND CRITERIA FOR RECOMMENDING MINIMUM REMUNERATION

REVIEW PROCESS

COMMITTEE SHALL BEGIN REVIEWING MINIMUM REMUNERATION **EVERY 2 YEARS FROM THE MONTH OF BAISAKH**

PROCEDURES

MEETING PROCEDURES AND OTHER OPERATIONAL MATTERS SHALL BE AS PRESCRIBED

Provincial, Labour Advisory Council

Chapter-17 Provisions Relating to Internal Management of Enterprise

Section 108: Internal management may be made
Section 109: Transfer may be made
Section 110: To be deputed as representative
Section 111: Formation of labour relation committee
Section 112: Performance evaluation of labours by enterprise

CHAPTER 17 — PROVISIONS RELATING TO **INTERNAL MANAGEMENT** OF ENTERPRISES



SECTION 108: INTERNAL MANAGEMENT (BYE-LAWS)

Every enterprise may prepare bye-laws for internal management.

A BYE-LAWS: WORKERS' SERVICE, TERMS, AND FACILITIES

- Not below the minimum standards of this Act.
- Not conflict with any collective agreement.

B DEVELOPMENT AND REGULATION

- The Ministry may prepare model bye-laws.
- Nepal Rastra Bank & other regulatory bodies may prepare bye-laws for enterprises under their jurisdiction.

The enterprise shall:

- Register one copy of the bye-laws with the Office.
- Make the bye-laws available to workers on request.

CONSULTATION: Before making or amending bye-laws:



The enterprise shall consult:

- The authentic trade union, or
- If none exists, the active trade union.

LEGAL INCONSISTENCY



If any provision is inconsistent with this Act, prevailing law or a collective agreement, the court may declare it void or issue appropriate orders.



SECTION 109: TRANSFER OF WORKERS

Employer may transfer a worker between offices, branches or units without reducing service terms, facilities, or changing the nature and level of work.

CHANGE IN NATURE OR LEVEL OF WORK: Allowed ONLY if:



1. The worker consents



2. The transfer is due to promotion



3. It is provided in a collective agreement



4. It relates to the worker's training, skills or educational qualifications

TRANSFER TO ANOTHER ENTERPRISE



A worker may be transferred with his/her consent.

- Previous service period counted.
- Service-based benefits & terms continue.
- Both enterprises enter into a prescribed agreement.

TRANSFER FACILITIES

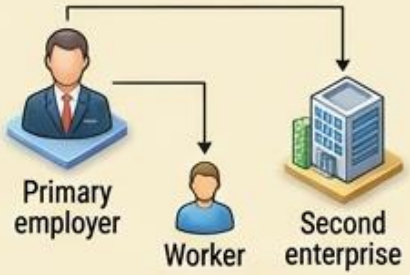


If transferred outside the worker's permanent residence or previous workplace, the employer shall provide the prescribed transfer facilities.

SECTION 110: DEPUTATION AS REPRESENTATIVE



An enterprise may depute a worker to another enterprise as its representative.



Unless otherwise agreed, the original employer remains responsible for the worker's service terms and facilities during deputation.

PROVISIONS RELATING TO ENTERPRISE MANAGEMENT (INFOGRAPHIC)

SECTION 111: FORMATION OF LABOUR RELATIONS COMMITTEE



LABOUR RELATIONS COMMITTEE (LRC)

Every enterprise employing 10 or more workers shall form a Labour Relations Committee.

LRC FUNCTIONS



Promote productivity and improve work systems



Discuss and help resolve workers' grievances



Improve the work environment (clean modern building with workers)



Function as the Occupational Health and Safety Committee until one is formed under this Act (helmet, safety vest, and health cross)





Perform other prescribed functions (documents and stamps).

MEETING ARRANGEMENTS

The Committee shall meet as necessary without affecting normal working hours.

FORMATION & PROCEDURES:

Formation:

Formation, procedures and meeting arrangements shall be as prescribed.

SECTION 112: PERFORMANCE EVALUATION OF WORKERS



PRE-EVALUATION

Enterprise may conduct a performance evaluation once every year.



Evaluation criteria and procedures shall be fair, reasonable and predetermined.



Workers shall be informed of the evaluation criteria and procedure before the evaluation period begins.

EVALUATION

POST-EVALUATION

After evaluation, the employer shall:



Discuss the worker's strengths and weaknesses (char and minus).



Provide a reasonable opportunity for improvement

DISAGREEMENT PROCEDURE

If the worker disagrees with the evaluation:

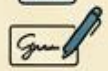


1. The disagreement shall be recorded





2. The worker shall sign the evaluation form





3. The enterprise shall review the evaluation





OTHER PROVISIONS:
Other provisions relating to performance evaluation shall be as prescribed.

Chapter-18 Settlement of Individual Disputes

Section 113: Submission of individual claims
Section 114: Application may be made to the Office
Section 115: Decision to be made by the Office

'CHAPTER 18 - SETTLEMENT OF INDIVIDUAL DISPUTES'

COLUMN 1

SEC 113: SUBMISSION OF INDIVIDUAL CLAIM



- SUBMIT WRITTEN APPLICATION to EMPLOYER



- EMPLOYER GIVES WRITTEN ACKNOWLEDGEMENT



- SETTLE DISPUTE WITHIN **15 DAYS** (after consultation with lab.)



- TIME EXTENSION POSSIBLE (through consent)

☺ YES ← SETTLED? → NO

COLUMN 2

SEC 114: APPLICATION TO OFFICE

IF: EMPLOYER DOES NOT CONSULT IN **7 DAYS**

IF: AGREEMENT NOT REACHED IN **15 DAYS**



SUBMIT APPLICATION to OFFICE





OFFICE NOTIFIES DATE & TIME FOR CONSULTATION





OFFICE TO SETTLE WITHIN **21 DAYS** (of receipt)

- TIME EXTENSION POSSIBLE (through consent)

AGREEMENT REACHED? → NO

YES ↓

- DISPUTE DEEMED SETTLED
- AGREEMENT IS BINDING



COLUMN 3

SEC 115: DECISION OF OFFICE

IF DISPUTE DOES NOT GET SETTLED u/s 114



OFFICE GIVES DECISION WITHIN **15 DAYS**





BASED ON EVIDENCES



Chapter-19 Settlement of Collective Disputes

Section 116: Collective claim may be submitted
Section 117: To hold negotiations on collective claims, demands
Section 118: Settlement through mediation
Section 119: Settlement of dispute through arbitration
Section 120: Power to form labour arbitration tribunal
Section 121: Right to strike for settlement of collective disputes
Section 122: Arbitral award and collective agreement to be binding
Section 123: Special provisions relating to the submission of collective claims, demands
Section 124: Right to lock-outs
Section 125: Picketing or assembly may be made
Section 126: Employment contract not to be violated
Section 127: Remuneration for strike or lock-out period
Section 128: Prohibition on filing of case against loss
Section 129: Collective bargaining or agreement to be made in good faith

Labour Act, 2074

Settlement of Collective Dispute – Part I

Sec. 116 – 118

1. Collective Bargaining Committee (Sec. 116)

Must be formed in enterprises with **10 or more workers** through:

- Authentic Trade Union, **OR** Mutual consent of all registered unions
- Representatives backed by signatures of **>60% workers**

2. Claim Submission & Employer Notice (Sec. 117)

Submit written claims to employer. Within **7 days** of receipt, employer must issue written notice specifying the time & place for negotiation.

3. Bilateral Negotiation (Within 21 Days)

✓ CONSENSUS REACHED

Dispute resolved successfully; agreement is legally **binding on both parties**.

✗ NO NOTICE / NO AGREEMENT

Employer fails to notice in 7 days **OR** no consensus within 21 days.

4. Labour Office Reconciliation (Sec. 118)

Apply to Labour Office for reconciliation. The Office conducts conciliation within **30 days**.

Resolved: Legally Binding

Unresolved: Proceed to Mediation (Sec. 119)

Restrictions (Sec. 116)

Collective Claims CANNOT be submitted if:

- Against the Constitution of Nepal
- Based on unfounded / false allegations
- Relates to personal conduct/individual grievances of a worker
- Not directly related to the enterprise
- Existing collective agreement is still valid in force
- Relates to Social Security Fund contribution rates set by law

Labour Act, 2074

Settlement of Collective Dispute – Part II

Sec. 119 – 125

1. Mediation Process (Sec. 119)

Applicable when: Mutual agreement, Essential Services, SEZ Enterprises, Emergency, or Ministry orders mediation.

Mediator must issue decision within 30 days.

2. Permissible Strike & Notice Requirement (Sec. 121)

Trigger: Party dissatisfied with mediator decision, employer refuses mediation, mediator not formed, or no decision in 30 days.

Mandatory 30-Day Prior Notice must be served to:

• Employer • Labour Office • Local Administration

3. Rights During Strike & Ministry Intervention (Sec. 125)

Allowed Rights: Peaceful Picketing & Assembly near enterprise premises.

MINISTRY INTERVENTION

Orders compulsory mediation -> Strike suspended immediately.

NO ORDER

Lawful strike continues peacefully.

Absolute Strike Prohibition

No Right to Strike for:

- **Security Guards & Watchmen** while performing official duty
- Workers in designated **Essential Services**

Binding Effect (Sec. 122)

- Collective Agreements & Mediator Decisions must be **registered with the Labour Office**.
- Legally **binding on all parties** (employer, trade union, and workers).
- **122(4) Effective Date and Validity:-**
  - **Collective Agreement:** Takes effect from the date specified in the agreement; if no date is specified, from the date of signature.
  - **Arbitrator's Decision:** Takes effect from the date of the decision.
  - **Validity:** Remains valid for 2 years and has the same effect as law.

122(5) Continuity of Provisions:
Notwithstanding subsection (4), the provisions of a collective agreement or arbitrator's decision continue to apply until they are amended or repealed by another collective agreement or arbitrator's decision

Labour Act, 2074

Settlement of Collective Dispute – Part III

Sec. 124 – 129

Employer Lock-out Procedure (Sec. 124)

Standard Route:
Illegal strike / dispute unresolved -> Seek Department approval -> Issue **7-day notice**.

Emergency Route:
Riot, violence, property damage -> **Immediate Lock-out**. Inform Dept & Local Admin within 3 days.

Department Review: Justified (Lock-out Continues) OR Unjustified (Declared Illegal).

Rights & Protection During Dispute (Sec. 126 & 129)

- **Employment Continuity:** Service relationship continues uninterrupted during strike/lock-out (Sec. 126).
- **Prohibitions:** Cannot obstruct entry/exit of non-striking staff, or damage enterprise property.
- **Good Faith Bargaining:** Both Employer and Trade Union mandatory duty to bargain in good faith (Sec. 129).

Remuneration During Dispute (Sec. 127)

Situation	Remuneration Entitlement
Illegal Strike	No Remuneration (0%)
Illegal Lock-out	Full Remuneration (100%)
Lawful Strike / Lock-out	Half Remuneration (50%) (Unless collective agreement specifies full)

Legal Protection & Liability (Sec. 128)

- **Immunity:** No civil lawsuit lies against trade unions/workers for financial losses caused by a *lawful* strike or lock-out.
- **Property Damage Liability:** Losses arising from arson, vandalism, or physical destruction **shall be recovered from responsible individuals**.

Chapter-20 Provisions Relating to Conduct and Punishment

Section 130: Observance of discipline and duties
Section 131: Misconduct and punishment
Section 132: Prohibition of sexual harassment
Section 133: Provisions relating to misconduct may be made in the bye-law
Section 134: Power to suspend
Section 135: Opportunity to be given to submit clarification
Section 136: Authority imposing punishment
Section 137: Period for taking decision
Section 138: Punishment may be remitted

DISCIPLINE AND PERFORMANCE OF DUTY (INFOGRAPHIC)

SECTION 130: DISCIPLINE AND PERFORMANCE OF DUTY



Every worker shall:

- Maintain discipline.
- Perform duties in accordance with:
  - This Act.
  - Rules framed under the Act.
  - Enterprise bye-laws.

SECTION 131: MISCONDUCT AND PUNISHMENT

1. Warning may be given for:

- Absence without approved leave.
- Leaving the workplace without approval.
- Repeated late attendance without approval.
- Failure to follow lawful work instructions.
- Other misconduct specified in the bye-laws.

2. Deduction of remuneration (Maximum: 1 day's remuneration)

- Refusing to accept official notices or letters.
- Participating in an illegal strike or work slowdown.
- Causing production/service loss through negligence.
- Submitting false statements to obtain benefits.
- Failure to use prescribed safety equipment.
- Other similar misconduct specified in the bye-laws.



3. Annual Increment or Promotion may be withheld for 1 year

- Unauthorized use or removal of enterprise property.
- Attempting financial embezzlement.
- Damaging employer's property through negligence.
- Disrupting essential workplace services (food, water, electricity, telephone, movement).
- Misusing or damaging safety and health facilities.
- Other similar misconduct specified in the bye-laws.

4. Removal from Service



- Assault, violence, hostage-taking, riot or destruction at the workplace.
- Giving or accepting bribes.
- Intentional damage to employer's property.
- Absence without approved leave for more than 30 consecutive lass. or disclosure of confidential information/technology.
- Working with or assisting a competing business or disclosing confidential information.
- Conviction by a court for an offence involving moral turpitude.
- Submission of forged educational or other certificates.
- Consuming intoxicating or controlled substances during working hours or reporting to work under their influence.
- Being punished more than twice within 3 years under sub-sections (1), (2) or (3).
- Any misconduct for which prevailing law provides removal from service.

Provisions, Labour Discipline

EMPLOYMENT LAW: MISCONDUCT, COMPLAINTS, AND SUSPENSION

(SECTIONS 132-134)

SECTION 132 - PROHIBITION ON SEXUAL MISCONDUCT

Sexual misconduct at the workplace or in connection with work is **strictly prohibited.**

Employer may **impose punishment up to removal from service**, depending on the seriousness of the misconduct.



If the employer or CEO commits sexual misconduct, the victim, trade union, or victim's family may **file a complaint** under the law.



SECTION 133 - MISCONDUCT PROVISIONS IN BYE-LAWS

- Sector regulators (e.g., banks, financial institutions, schools, telecoms, hospitals, airlines, insurance companies) **may prescribe specific misconduct and penalties.**



- Enterprises may include **additional serious misconduct and disciplinary provisions** in their **bye-laws** through:





Collective agreement, or





Approval of the Department.



SECTION 134 - SUSPENSION OF WORKERS



AUTOMATIC SUSPENSION

- **Automatic suspension** if a worker is detained under law (no remuneration during detention).
- If the employer filed the complaint and the worker is found innocent, **full remuneration** must be paid.



EMPLOYER-INITIATED SUSPENSION

- **Employer may suspend a worker facing dismissal-level misconduct or where continued employment may:**
  - **Destroy evidence, or**
  - **Obstruct investigation.**







- **Maximum suspension: 3 months (extendable by 1 month if investigation is incomplete).**



- **Suspended worker receives 50% remuneration during suspension.**



- **If found not guilty, the worker receives:**
  - **Remaining 50% remuneration,**





  - **Any applicable annual increment.**



- **If detention (other than employer-filed complaint) exceeds 90 days, the employer may terminate the worker's service without a hearing.**









UNDERSTANDING DISCIPLINARY PROCEEDINGS: KEY LABOUR ACT SECTIONS



Section 135: OPPORTUNITY TO SUBMIT EXPLANATION

Before imposing any disciplinary punishment, the employer must:

1. Clearly inform the worker of the alleged misconduct.
2. State the proposed punishment.
3. Allow 7 days for the worker to submit an explanation.





Section 136: PUNISHING AUTHORITY

- The Chief Executive of the enterprise is the disciplinary authority.
- If authorized by the enterprise's bye-laws, a managerial-level employee may investigate misconduct and impose disciplinary action, including making the final decision.





Section 137: TIME LIMIT FOR DISCIPLINARY PROCEEDINGS



- Disciplinary proceedings must begin within 2 months from the date the misconduct becomes known.



- A final decision must be made within 3 months from the date the proceedings are initiated.



Section 138: REDUCTION OF PUNISHMENT

- The employer may impose a lesser punishment than originally proposed.
- If the enterprise's bye-laws prescribe a lighter penalty than the Labour Act, the bye-laws shall prevail for the workers of that enterprise.



Chapter-21 Provisions Relating to Termination of Employment

Section 139: Security of employment
Section 140: Termination of time-based and work-based employment
Section 141: Employment may be terminated voluntarily
Section 142: Employment may be terminated on the ground of incompetence
Section 143: Employment may be terminated on the ground of health
Section 144: Notice to be given
Section 145: Retrenchment may be made
Section 146: Resumption of operation
Section 147: Compulsory retirement
Section 148: Payment of benefits
Section 149: Labours to get first priority
Section 150: To issue the certificate of experience

LABOUR ACT: EMPLOYMENT TERMINATION GUIDE

SECTION 139 – SECURITY OF EMPLOYMENT



- Employment can be terminated ONLY in accordance with the Labour Act, Rules, or enterprise bye-laws.





- Termination must be based on a reasonable and valid cause.

SECTION 140 – TERMINATION OF TIME-BOUND OR TASK-BASED EMPLOYMENT



TIME-BOUND EMPLOYMENT:

- Ends on expiry of the contract period.
- If the project or contract period is extended, employment continues for the extended period.



TASK-BASED EMPLOYMENT:

- Ends upon completion of the assigned task.
- If the project or task is extended, employment continues until completion.



CASUAL EMPLOYMENT:

- May be terminated at the discretion of either the employer or the worker.

SECTION 141 – VOLUNTARY RESIGNATION



- A worker may resign by submitting a written resignation.

The employer must approve the resignation within 15 days.





If no decision is made within 15 days, the resignation is deemed automatically approved.



- A resignation may be withdrawn by mutual consent of the employer and worker.



- If the worker continues working after the resignation takes effect, the resignation is deemed cancelled.

SECTION 142 – TERMINATION FOR LACK OF COMPETENCE

1. Employment may be terminated if a worker receives **unsatisfactory or below-standard performance evaluations** for three consecutive assessments.



2. **Performance evaluations must be conducted in accordance with the Labour Rules, or enterprise bye-laws.**



3. 

In enterprises with 10 or more workers, the employer must provide the worker at least 7 days to submit an explanation before termination.



SECTION 143 – TERMINATION ON HEALTH GROUNDS

1. Employment may be terminated if a worker becomes **physically or mentally incapable of performing work**, based on a physician's recommendation.



PROTECTION FOR WORK-RELATED INJURY/OCCUPATIONAL DISEASE:

Employment **cannot be terminated** during:

- The entire period of hospitalization, or
- Up to **1 year** of home treatment.



The worker is entitled to **full remuneration** during this period (unless covered by the Social Security Fund).



(unless covered by SSF)

FOR ILLNESS OR INJURY NOT COVERED ABOVE:

Employment cannot be terminated for up to **6 months**, unless a physician **certifies that the worker cannot return to work.**



1. If a disabled or injured worker is capable of performing **suitable alternative work, the employer must provide such work** instead of terminating employment.



EMPLOYMENT REGULATIONS: SECTION 144 & 145

SECTION 144: NOTICE BEFORE TERMINATION



Prior Notice Periods:
(Except Misconduct)

- Up to 4 weeks' service: **1 day's notice**
- More than 4 weeks to 1 year: **7 days' notice**
- More than 1 year: **30 days' notice**

Employer fails to give notice:
Remuneration in lieu of notice period must be paid.



Worker resigns without notice:
Employer may deduct remuneration equivalent to notice period.



SECTION 145: REDUCTION OF WORKFORCE (RETRENCHMENT)

Reasons for Reduction

- Financial difficulties
- Merger resulting in excess workforce
- Partial or full closure
- Other valid operational reasons

Process & Requirements

30 days' prior notice to Office & Union/Committee:
- Reason
- Proposed date
- Number of affected workers

Consult Union/Committee on:
- Alternatives to retrenchment
- Selection criteria

If no agreement, proceed after informing Office.

Priority Order for Retrenchment

First
1. Foreign workers
2. Workers with more disciplinary records
3. Poor-performing workers
4. Most recently appointed workers (unless justified otherwise)

Last

Note: Union representatives retrenched last (unless agreed).

Compensation & Exceptions

Workers with at least 1 year service get 1 month basic remuneration for each year (pro-rata for less).

No retrenchment compensation if worker entitled to unemployment benefits under Social Security.

- Workers with at least 1 year service or completed year (pro-rata fo less).
- **Exceptions**
  - ✕ Closure by Govt/Labour Court
  - ✕ Special Economic Zone (SEZ)
  - ✕ Employers with 10 or fewer workers

A Comprehensive Guide to Labour Laws

NEPAL LABOUR ACT: KEY WORKER ENTITLEMENTS (SECTIONS 146-150)

SECTION 146 - RE-EMPLOYMENT OF RETRENCHED WORKERS



If enterprise resumes operations within **2 years** or requires additional workers, **priority must be given to workers previously retrenched** under Section 145.



- If a retrenched worker fails to report after receiving notice, employer may hire another person.

A worker may file a case in **Labour Court** within **35 days** if employer fails to notify or re-employ them.

Other procedures as prescribed.

SECTION 147 - COMPULSORY RETIREMENT





Workers in regular employment **retire compulsorily** at **60 years of age.**



For work of a special nature, a **lower retirement age** may be fixed through **enterprise bye-laws** with **Council approval.**



SECTION 148 - PAYMENT OF TERMINAL BENEFITS



Within **15 days** of termination, employer must pay all remuneration and benefits due to the worker.





- Employer must assist worker in obtaining **Social Security Fund, insurance,** and **other statutory benefits.**





If payment or assistance is delayed, employer must **continue paying remuneration** as if worker remained in service until settlement.



If worker does not collect payment, employer may:



Deposit it into the worker's bank account, or

- Deposit it with the Labour Office.



SECTION 149 - WORKERS' FIRST PRIORITY



During closure or liquidation of an enterprise, workers' unpaid remuneration and benefits receive first priority for payment.





Where the Insolvency Act applies, its provisions shall govern accordingly.

SECTION 150 - WORK EXPERIENCE CERTIFICATE



Upon request, the employer must issue a work experience certificate stating:



Period of employment, and



Position (post) held by the worker.

Chapter-22 Provisions Relating to Labour Court

Section 151: Formation of Labour Court
Section 152: Majority decision to prevail
Section 153: Powers of Labour Court
Section 154: Proceeding against contempt of court
Section 155: Power to demand bank guarantee or deposit
Section 156: Power to order payment of interest
Section 157: Case may be compromised
Section 158: High Court to perform functions of Labour Court
Section 159: To forward the matter to the body having jurisdiction
Section 160: Procedures of the cases
Section 161: Appeal to the Supreme Court

1 SECTION 151 – FORMATION OF LABOUR COURT

The Government of Nepal may establish one or more Labour Courts by publishing a notice in the Nepal Gazette. The jurisdiction and location of each Labour Court are specified in the Gazette notice.

Composition

Each Labour Court consists of:



- 1 Chairperson
- 2 Members.

Qualifications & Term

- The Chairperson and Members must be a High Court Judge or a person qualified to be a High Court Judge.
- Except for sitting High Court Judges, the term of office is 4 years.
- Service terms and benefits are equivalent to those of High Court Judges.



Chief Justice Chairperson

Oath of Office

Before assuming office:

- The Chairperson takes an oath before the Chief Justice.
- Members take an oath before the Chairperson.

2 SECTION 152 – DECISION OF THE LABOUR COURT



General Proceeding

Cases are generally heard by the Chairperson and both Members.

Quorum & Decisions



Quorum & Decisions

Decisions are made by majority vote. If one member is absent, a two-member bench may hear and decide the case.

Handling Disagreements

Two-member bench:



The matter is referred to the third member, whose opinion determines the final decision.

Chairperson vs. Member:



The Chairperson's opinion prevails.

SECTION 153 – POWERS OF THE LABOUR COURT



- Receive and examine witness evidence.



- Record statements from parties where necessary.





- Add necessary parties to a case and order their appearance.





- Inspect the workplace or dispute site when required.





- Issue interim orders to stop or continue work while the case is pending.





- Confirm, modify, or cancel decisions, directives, or orders issued by the Labour Office or employer.





- Exercise the powers provided under the Labour Act, and on matters not covered, exercise the same powers as a District Court.



SECTION 154 – CONTEMPT OF LABOUR COURT

- The Labour Court may take action against any person for contempt of court.



If found guilty, the Court may impose:



Fine up to NPR 10,000,



Imprisonment up to 6 months,



Both.

If the offender makes a satisfactory apology, the Court may:



Pardon the offender,



Reduce or remit the punishment,



Suspend the punishment subject to specified conditions.

LEGAL PROVISIONS IN LABOUR MATTERS (SECTIONS 155-158)

SECTION 155: MAY DEMAND BANK GUARANTEE OR DEPOSIT



- **SECURITY FOR PAYMENT:**
  When deciding a case, if the Labour Court considers that:
  - One party is likely to receive an amount from the other party; and
  - The paying party may fail to pay that amount,

  the Labour Court may, to ensure implementation of its decision:
  - Require the concerned party to deposit an amount equal to the sum payable; or
  - Require a bank guarantee covering that amount.

SECTION 156: MAY ORDER PAYMENT OF INTEREST



- **(1) PAYMENT DEADLINE:**
  If a party is held liable to pay compensation or any other monetary amount, payment must be made within 2 months of receiving notice of the judgment or decision.
- **(2) INTEREST FOR DELAY:**
  If payment is not made within the prescribed 2 months:
  - Interest at 15% shall be payable or recoverable.
  - Interest shall be calculated from the date of judgment.

SECTION 157: MAY REACH SETTLEMENT



- **(1) SETTLEMENT, FILING AWAY OR WITHDRAWAL:**
  At any stage of a case filed under the Act, the Labour Court may, an application by the concerned party, permit the case to be:
  - Settled;
  - Filed away; or
  - Withdrawn.
- **(2) NO CHARGES:**
  No fine, penalty or fee shall be charged when a case is settled, filed away or withdrawn under subsection (1).

SECTION 158: HIGH COURT TO PERFORM FUNCTIONS OF LABOUR COURT



- **(1) DESIGNATION OF HIGH COURT:**
  The Government of Nepal may, by publishing a notice in the Nepal Gazette, designate any High Court to perform the functions of the Labour Court and specify its territorial jurisdiction.
- **(2) POWERS OF DESIGNATED HIGH COURT:**
  The designated High Court shall exercise all powers available to the Labour Court under this Chapter while conducting and deciding cases.

Government of Nepal

LEGAL PROCEDURE OVERVIEW

SECTION 159: TO BE SENT TO A BODY HAVING JURISDICTION



TRANSFER OF CASE:
If the Labour Court or Labour Office determines that it lacks jurisdiction to decide a case filed under the Act or prevailing law, it must:

FIX A DATE;



SEND THE CASE FILE TO THE COMPETENT BODY HAVING JURISDICTION FOR DECISION.



SECTION 160: PROCEDURE OF CASES



PRESCRIBED PROCEDURE:
Other matters relating to the procedures for cases filed with the Labour Court shall be as prescribed.



SECTION 161: APPEAL TO SUPREME COURT

(1) APPEAL AGAINST ORIGINAL DECISION



A party dissatisfied with an order or judgment of the Labour Court in a case decided under its original jurisdiction may appeal to the Supreme Court within **35 days** of hearing the order or judgment.



(2) FINALITY OF APPELLATE DECISION

A decision made by the Labour Court while exercising appellate jurisdiction shall be final.

Chapter-23 Provisions Relating to Complaint, Punishment and Appeal

Section 162: Right to make complaint
Section 163: Power of the Department or Office to decide
Section 164: Decision may be made by the Labour Court
Section 165: Appeal
Section 166: Decisions to be executed
Section 167: Power of the Office to have execution of decisions
Section 168: Power to impose punishment in the event of non-execution of judgment, compromise or agreement

Labour Act Provisions (Continued)

162. Complaint



Aggrieved person (or trade union with written consent) may file a complaint

Complaint can be filed against any violation of the Labour Act or Rules

Must be filed within **6 months** from the date of the violation



Section 163 - Powers of Department & Office

Fine up to NPR 200,000 for:

- Supplying workers without a licence
- Hiring workers through an unlicensed supplier
- Employing foreigners without a labour permit (plus NPR 5,000 per worker per month for continued violation)



Fine up to NPR 100,000 for: discrimination in employment

Fine NPR 10,000 per worker (up to NPR 500,000) for:
No appointment letter or employment contract



Take departmental **action negligent Inspectors**



Order correction of:

- Unfair labour practices
- Illegal transfers
- Promotion violations



Direct Offices that fail to perform duties within prescribed time



Resolve disputes between labour suppliers and principal employers

Office Powers



Recover unpaid wages and impose up to double the deducted amount as a fine

Fine up to NPR 20,000 for:

- Obstructing officials
- False statements
- Undue influence



Office Powers - Powers of Department & Office

Fine NPR 10,000 per trainee/apprentice for **illegal engagement** and order regular employment





Order payment of:

- Provident Fund
- Gratuity
- Social Security contributions
- Medical expenses
- Medical insurance
- compensation
- Double penalty where applicable



Direct employers against:

- Illegal reserve status
- Discriminatory practices
- Illegal termination or preventing workers from attending work



Individual disputes may still be resolved through the **employer's grievance process**

LABOUR COURT DECISIONS & APPEALS (Sections 164-165)

SECTION 164 – LABOUR COURT MAY DECIDE

Bonded Labour

Up to 2 years imprisonment or fine up to Rs. 500,000, or both.

Offender must pay:
- Due remuneration, allowances & facilities.
- Double the amount as compensation.
- If victim was taken abroad, offender must also bear repatriation expenses.

Occupational Safety & Health (OSH) Violations

Applies where negligence or violation causes:
- Death,
- Disability/maiming,
- Occupational disease,
- Permanent physical or mental harm

Labour Court may:
- Impose punishment under prevailing law; or
- Up to 2 years imprisonment.
- Appropriate compensation payable to the victim.

Offences by Institutions

Institution is liable for the fine.

- Institution is liable for the fine.
- Where imprisonment is prescribed, the Chief Executive is personally liable.

SECTION 165 – APPEAL

Appeal against Department/Office order or decision:

Labour Court within **35 days.**

Worker may appeal against:
- Termination of employment, or
- Disciplinary punishment.

Within **35 days** of receiving the decision.

Where internal appeal is available under enterprise bye-laws:

Internal Appeal Mechanism

Worker may first use the internal appeal mechanism.

If no decision is received on the internal appeal within **60 days**:

Appeal may be filed before the Labour Court within **35 days** thereafter.

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LABOUR LAW: IMPLEMENTATION & ENFORCEMENT OF DECISIONS (Sections 166-168)

SECTION 166 – IMPLEMENTATION OF

IMPLEMENTATION OF DECISIONS

- Final Labour Court judgments and decisions must be implemented after they become final or the appeal period expires.

Settlements, agreements, and mediator's decisions must be implemented in good faith.

- If a party fails to comply, the other party may apply to the Labour Office.
- The Labour Office will direct the defaulting party to implement the decision.

Compliance is required within 15 days of receiving the Office's notice.

- Decisions of the Department, Office, or authorized officer are also mandatory and enforceable.

15 Days

SECTION 167 –

LABOUR OFFICE TO ENFORCE DECISIONS

If a decision or agreement is not implemented, the Labour Office may enforce it by:

- Freezing or auctioning immovable property
- Freezing bank accounts
- Suspending government concessions or benefits
- Suspending labour permits or other permits
- Issuing any other necessary enforcement order

Labour Officer

If the decision remains unimplemented after enforcement, the aggrieved party may file a complaint before the Labour Court for punishment under Section 168.

SECTION 168 –

PUNISHMENT FOR NON-IMPLEMENTATION

Labour Court may issue a final notice directing implementation within a specified period

Failure to implement a:

- Labour Court/Supreme Court judgment
- Mediator's decision
- Office's implementation order
- Settlement/agreement

May result in:

- Fine up to Rs. 100,000
- Imprisonment up to 1 year

Or both.

The Court may waive or reduce the punishment if the decision is implemented within the period specified by the Court.

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Chapter-24 Miscellaneous

Section 169: Procedure relating to service of notice
Section 170: Fixation of basic remuneration
Section 171: Special provisions relating to managers and managerial level labours
Section 172: Entitlement to remuneration and other benefits
Section 173: Increment of insurance amount
Section 174: Delegation of authority
Section 175: Saving of acts done in good faith
Section 176: Special powers of the Ministry
Section 177: Labour coordination committee
Section 178: Transitional provisions
Section 179: This Act to prevail
Section 180: This Act not to apply
Section 181: To frame and implement directives and procedures
Section 182: Powers to frame rules
Section 183: Repeal and saving

LABOUR LAW (SECTIONS 169 - 173)

SECTION 169 – SERVICE OF NOTICE

SERVICE OF NOTICE

Employer and worker must accept notices/ summons and acknowledge receipt.

If personal service is not possible, notice may be served by:

- Registered post/courier, with required formalities.
- Fax, email or other electronic means if refused.

Electronic or registered service is deemed valid unless proven otherwise.

Notices displayed on the workplace notice board and informed to trade unions are deemed communicated to all workers.

SECTION 170 –

BASIC REMUNERATION

Basic remuneration of task-based workers shall be fixed as prescribed.

2. If not prescribed, the minimum remuneration shall be treated as the basic remuneration.

3. Piece-rate wages shall be fixed based on the prescribed minimum minimum remuneration.

SECTION 171 –

SPECIAL PROVISIONS FOR MANAGERIAL EMPLOYEES

1. Managerial employees (including the Chief Executive) may be employed on a time-bound contract with separately determined service terms.

Managers and managerial employees cannot:

- Submit collective demands.
- Participate in collective bargaining.
- Take part in strikes.

SECTION 172 –

REMUNERATION AFTER REINSTATEMENT

1.A worker reinstated by the Office, Department or Labour Court is entitled to:

- Full remuneration and benefits from the date of termination until reinstatement.

TERMINATION DATE — REINSTATEMENT DATE

Instead of reinstatement, the authority may award:

- Appropriate compensation, in addition to the remuneration and benefits due.

SECTION 173 –

INCREASE IN INSURANCE AMOUNT

The Ministry, on the Council's recommendation, may increase:

- Medical treatment insurance, and
- Accident insurance amounts.

Increase is made through notification in the Nepal Gazette.

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Section 174 – Delegation of Authority



The Ministry, Department or Labour Office may delegate some or all of its powers to another office or officer.

Such delegation must be published in the Nepal Gazette.



Section 175 – Protection for Good Faith Actions



Labour Inspectors, OSH Inspectors, employees, employers and workers are protected from legal action for acts done in good faith while performing duties under the Act or Rules.



No protection applies where the act is done knowingly, maliciously or with wrongful intent.

Section 176 – Special Power of the Ministry



The Ministry may directly decide matters (except those pending before the Labour Court) where:

- There is undue delay by the Office or Department; or
- The matter is complex and requires Ministry intervention.

Such decision is deemed to be the decision of the original authority.



Aggrieved parties may appeal to the Labour Court.

Section 177 – Labour Coordination Committee



A Central Labour Coordination Committee shall be formed under the Chairpersonship of the Director General of the Department.

Committee members, functions, duties and powers shall be as prescribed.

TRANSITIONAL PROVISIONS AND FINAL MATTERS (SECTION 178-183)

Section 178 – Transitional Provisions

Deemed Regular Employees



Existing permanent workers are deemed to be regular employees under this Act.

New Employment Contracts



Existing contract, daily wage and other workers must sign employment contracts under the Act.



Continuation of Better Benefits



Workers already receiving better benefits will continue to enjoy those benefits.

Enforceable Judgments



Unimplemented judgments under previous labour laws remain enforceable if applied for within one year.

Existing Fund & Courts



Existing Welfare Fund and courts continue until replaced under the new law.

Section 179 – Applicability of the Act

Governed by this Act

Matters covered by this Act and its Rules shall be governed by this Act.

Governed by Prevailing Laws

Matters not covered shall be governed by prevailing laws.

Section 180 – Act Not Applicable

The Act does not apply to:



Civil Service



Civil Service
(governed by separate laws)

Special services & SEZs



Special services and SEZs follow their own laws where service terms are provided

Automatic Application



If other laws do not provide labour benefits, this Act applies automatically

Equivalent Rights



Decisions excluding a worker from this Act must state which law provides equivalent rights

Working Journalists



Working Journalists may be covered by this Act through employment contract or agreement

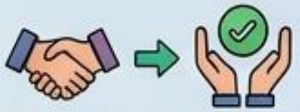
181 – Guidelines & Procedures

Government Guidelines



The Ministry may issue guidelines and procedures for implementation of the Act and Rules.

Fair Labour Practice Code



Employers' organizations and trade unions may formulate and implement a Fair Labour Practice Code

182 – Rule-Making Power

Framing Rules



The Government of Nepal may frame Rules for implementation of the Act.

Separate Rules



Separate Rules may be made for special industries, services, businesses and the informal sector.

183 – Repeal & Saving

Repeals



- Labour Act, 2048
- Industrial Apprentice Training Act, 2039
- Retirement Fund Act, 2042

Pending Cases



Pending cases under repealed Acts are transferred to the Labour Court

Actions Deemed Taken



Actions taken under the repealed Acts are deemed to have been taken under this Act

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